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1 CHAPTER BANKING & MONETARY POLICY

1. AT 1 BONDS

- AT1 bonds are a type of perpetual debt instrument that banks use to augment their core equity base and thus comply with Basel III norms.
- These bonds are perpetual in nature and do not carry any maturity date. Banks have a call option that permits them to redeem these bonds after a certain period.
- They offer higher returns to investors but carry a high risk as well. In the event of an institutional failure, the rules allow the issuer to stop paying interest or even write down these bonds.

  E.g., Yes Bank wrote off its AT1 bonds in 2020.
- These bonds are subordinate to all other debt and senior only to equity.

2. VARIABLE REPO RATE

Reserve Bank of India (RBI) will infuse liquidity amounting to ₹2.50-lakh crore via a 15-day variable rate repo (VRR) auction as the overall liquidity deficit in the banking system has widened.

REPO RATES

- It is the **rate at which banks borrow money from the RBI** for one day, also known as overnight borrowing.
- **Through Repo Rate, RBI enhances liquidity (availability of money) in the economy** as more money is flown from RBI to Banks and in turn to the economy.
- Increase in liquidity helps the economy to grow, though it will increase inflation in the economy.

VARIABLE REPO RATE

- When RBI desires to infuse liquidity in the economy but Banks are not eager to borrow from RBI at Repo Rates as interest rates in the economy may already be lower.
- Under VRR, the RBI allows banks to **borrow at a rate decided by the market generally lower than Repo Rate** (though not less than Reverse Repo Rate) for duration more than One Day.
- Unlike the fixed repo rate, the VRR is determined through market-based auctions, where banks bid for funds, and the rate is influenced by demand and supply. This allows the RBI to adjust liquidity levels and interest rates in response to changing economic conditions.

3. FRAMEWORK FOR ACCEPTANCE OF GREEN DEPOSITS

Reserve Bank of India has put in place a Framework for acceptance of Green Deposits by the banks.

WHAT ARE GREEN DEPOSITS?

- A green deposit is a fixed-term deposit for investors looking to invest their surplus cash reserves in environmentally friendly projects. Green bonds used to be the most common fixed-income ESG product in India earlier, and now products like green deposits are gaining significance.
- Corporates looking for inclusion of a sustainability agenda into their treasury activities or those that have limited opportunities for investment in environmentally beneficial projects can invest in these green deposits.

PURPOSE OF THE FRAMEWORK

To encourage banks to offer green deposits to customers, protect interest of the depositors, aid customers to achieve their sustainability agenda, address greenwashing concerns and help augment the flow of credit to green activities/projects.

KEY GUIDELINES

- ***Applicability:*** The provisions of these instructions shall be applicable to Scheduled commercial banks (excluding payment banks, RRBs), deposit taking NBFCs and Housing finance companies (HFCs)
- The Banks shall issue green deposits as cumulative/non-cumulative deposits. On maturity, the green deposits would be renewed or withdrawn at the option of the depositor. *The green deposits shall be denominated in Indian Rupees only*.
- The eligible banks shall put in place a comprehensive Board-approved policy on green deposits covering all aspects in detail for the issuance and allocation of green deposits.
- ***Allocation of funds:*** The proceeds raised from the green deposits shall be allocated to the following activities
  - Renewable energy
  - Energy efficiency
  - Clean transportation
  - Climate change adaptation
  - Pollution control
  - Sustainable management of natural resources and waste management

Projects involving nuclear power generation, generating energy from biomass and hydropower plants larger than 25MW are excluded from eligible projects.

The banks shall ensure that the funds raised through green deposits are allocated to the eligible green activities/projects.

- ***Third party verification:*** Allocation of funds raised through green deposits shall be subject to an independent Third-Party Verification/Assurance which shall be done on an annual basis. The third-party assessment would not absolve the bank of its responsibility regarding the end-use of funds.
- ***A review report*** shall be published by the banks covering the details about amount raised under green deposits, amount of funding to the eligible green projects and third-party verification report.

4. ASSET RECONSTRUCTION COMPANIES

*The Indian Banks' Association (IBA) has come up with **revised norms for transfer of loan exposures of lenders to asset reconstruction companies (ARCs)** in the wake of increasing use of the Insolvency and Bankruptcy Code (IBC), 2016. The earlier norms for sale of loan assets by banks to ARCs pre-dates both IBC and the framework for early recognition, reporting and time bound resolution of stressed assets.*

WHAT ARE ASSET RECONSTRUCTION COMPANIES?

- An ARC is a special type of financial institution that buys the debts of the bank at a mutually agreed value and attempts to recover the debts or associated securities by itself.
- **Regulated Under:** The asset reconstruction companies or ARCs are **registered under the RBI** and **regulated under** the Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002 **(SARFAESI Act, 2002).**
- The ARCs take over a portion of the debts of the bank that qualify to be recognised as Non-Performing Assets. **Thus ARCs are engaged in the business of asset reconstruction or securitisation or both.**
- All the rights that were held by the lender (the bank) in respect of the debt would be transferred to the ARC.

HOW DOES ARCS WORK?

Debtors / borrowers / obligators	
Banks offer financial assistance	The borrowers provide security for such financial assistance
↓	
Banks / Financial Institutions	
Transfer the bad debts / NPAs to ARCS	The ARCs purchase such financial assets to realise the same
↓	
Qualified Buyer	
Purchases security receipts	ARCs issue security receipts representing undivided interest in financial assets

OTHER RELATED TERMS

- **Asset Reconstruction:** It is the acquisition of any right or interest of any bank or financial institution in loans, advances granted, debentures, bonds, guarantees or any other credit facility extended by banks for the purpose of its realisation. Such loans, advances, bonds, guarantees and other credit facilities are together known by a term – 'financial assistance'.
- **Securitisation:** It is the acquisition of financial assets either by way of issuing security receipts to Qualified Buyers or any other means. Such security receipts would represent an undivided interest in the financial assets.
- **Qualified Buyers:** Qualified Buyers include Financial Institutions, Insurance companies, Banks, State Financial Corporations, State Industrial Development Corporations, trustee or ARCs registered under SARFAESI and Asset Management Companies registered under SEBI that invest on behalf of mutual funds, pension funds, FIIs, etc. The Qualified Buyers (QBs) are the only persons from whom the ARC can raise funds.

5. WRITING-OFF LOANS

According to RBI, the banks have written off loans worth Rs 10 lakh crores in the last 5 years leading to fall in NPA to 12-year low of 2.8%. However, Banks have recovered only 18% of the written off loans. Banks were unable to recover 82% of the remaining loans despite adopting various recovery measures.

Compromise Settlement	Technical Write-offs
• A negotiated arrangement with the borrower to fully settle the claims of the bank against the borrower in cash.	• An accounting practice adopted by the banks to cleanse the balance sheets of bad debts. • Any recovery made against the borrower is considered as a profit for the bank in that financial year.
• It involves waiver of claims of the banks against the borrower.	• It does not involve waiver of claims of the banks against the borrower.
• Banks may undertake compromise settlements in respect of accounts categorised as wilful defaulters or fraud without prejudice to the criminal proceeding underway against such debtors.	• Banks may undertake technical write-offs in respect of accounts categorised as wilful defaulters or fraud without prejudice to the criminal proceeding underway against such debtors.
• Applicable to Scheduled Commercial Banks, Urban Cooperative Banks and NBFCs.	• Applicable to Scheduled Commercial Banks, Urban Cooperative Banks and NBFCs.

NON-PERFORMING ASSET (NPA)

- A loan is categorised as NPA if it is due for a period of more than 90 days. Depending upon the due period, the NPAs are categorized as under:
  - **Sub-Standard Assets**: >90 days and less than 1 year.
  - **Doubtful Assets**: greater than 1 year.
  - **Lost Assets**: loss has been identified by the bank or RBI.

RBI'S CONCEPT OF WILFUL DEFAULT

Person/company defaults on loan repayment:

- Despite having the capacity to repay loans.
- Diverts the loan for some other purpose. **E.g.,** Kingfisher Airlines owned by Vijay Mallya diverted the loans for other related businesses such as Kingfisher Calendar and Formula 1 racing Team.
- Siphoning of funds. **E.g.,** Nirav Modi took loans for business operations but used the loans for personal purposes.
- Sell off the collateral without the knowledge of the Bank.

In case of "Diversion of Loans", loans are used for related businesses. However, in case of "Siphoning", loans are used for unrelated businesses or personal purposes.)

WHY DO BANKS WRITE-OFF LOANS?

- **Reduce Tax Liability:** The Bank removes the written off loan from its balance sheet and reports the amount as a loss. Hence, the Banks can show lower profits and hence reduce their tax liability.
- **Lower Provisioning Needs**: With the loan no longer considered an asset, the bank can lower its provisioning requirements, which are set aside to cover potential losses on loans.

6. DIGITAL LENDING GUIDELINES

In the backdrop of increasing digital lending activity in India, RBI has released guidelines on regulating digital lending by the banks.

- ***Scope of Application:*** These guidelines are applicable to
  - All Commercial Banks.
  - Primary (Urban) Co-operative Banks, State Co-operative Banks, District Central Co-operative Banks.
  - Non-Banking Financial Companies (including Housing Finance Companies).
- As per the guidelines:
  - ***Lending Service Provider (LSP)*** is an agent of a bank who carries out functions like customer acquisition, underwriting support, pricing support, servicing, monitoring, recovery of specific loan on behalf of the banks.
  - ***Digital Lending Apps/Platforms (DLAs)*** are any Mobile or web-based applications that facilitate digital lending services.
- ***Customer Protection:***
  - Loan disbursements and repayment shall be executed by the borrower's account and the lender directly without any pass-through account/ pool account of any third party.
  - Banks shall ensure that any fees/charges payable to LSPs are paid directly by them and are not charged by LSP from the borrowers.
  - Setup a nodal grievance redressal officer to deal with FinTech/ digital lending related complaints.
- ***Storage of data:***
  - DLAs should not store personal information of the borrowers except basic minimum data required to carry out their operations.
  - All data is stored only in servers located within India.

- ***Reporting to Credit Information Companies (CICs):*** Banks shall ensure that any lending done through their DLA is reported to CICs irrespective of its nature/ tenor.

7. FIRST LOAN DEFAULT GUARANTEE

Recently, the fintech company Paytm has signed FLDG agreement with an NBFC for the distribution of loans.

WHAT IS FLDG?

First Loan Default Guarantee (FLDG) is a **lending model serviced between digital-lending fintech and their partner banks and NBFCs.** Under these agreements, **the fintech originates a loan and promises to compensate the partners up to a pre-decided percentage in case customers fail to repay**. The bank/NBFC partners lend through fintech but from their own books.

The RBI, in its bid to regulate these high risk FLDG arrangements, has introduced the FLDG Guidelines.

RBI GUIDELINES ON FLDG

- The banks shall ensure that the **total amount of default loss guarantee (DLG) cover** on any outstanding loan shall **not exceed 5%** of the amount of that loan portfolio.
- The Default Loss Guarantee must be invoked by the bank within 120 days of the default.
- It is mandatory for the banks to categorize the defaulted loans as NPAs only even when they have been compensated by its partnering fintech.
- Recovery by the bank, if any, from the loans on which DLG has been invoked and realized, can be shared with the DLG provider in terms of the contractual arrangement.

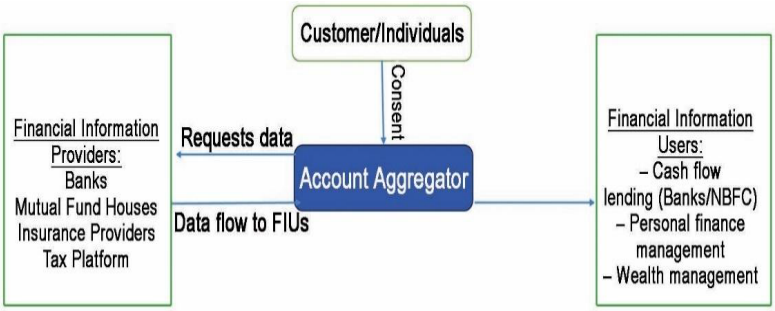
8. ACCOUNT AGGREGATOR

Recently, the RBI came out with a framework for recognising self-regulatory organisations for the account aggregator ecosystem.

WHAT IS ACCOUNT AGGREGATOR?

An Account Aggregator (AA) is a type of RBI regulated entity (with an NBFC-AA license) that helps an individual digitally access and share information from one financial institution they have an account with to any other regulated financial institution in the AA network. Data cannot be shared without the consent of the individual.

MECHANISM OF ACCOUNT AGGREGATOR



- Financial Information Providers (FIP) are institutions that hold user data like Depositories, Banks, NBFCs. FIPs can share customer's financial information with Financial Information User (FIU) via requests through an Account Aggregator.
- Financial Information Users (FIUs), like banks and NBFCs, can receive digitally signed data from Financial Information Providers (FIPs) for purposes declared in the data-sharing consent agreement.
- As per the principle of reciprocity, every entity needs to be a FIP (Financial Information Provider) first and then an FIU (Financial Information User) to ensure the sustainability of the ecosystem.

- Account Aggregators cannot see the data but only can take it from one financial institution to another based on an individual's consent. The data AAs share is end-to-end encrypted through 'digital signature'. Contrary to the name, they cannot 'aggregate' the customers' data.

ADVANTAGES

- Users benefit from the framework because it will streamline the previously time-consuming loan application process. Bad borrowers are weeded out, and transaction costs are reduced. As a result, lenders can be more liberal with loan amounts granted to genuine borrowers.
- As financial organisations get access to their personal financial data, individuals can expect better-tailored financial products.
- Integrating secure digital signatures and end-to-end data sharing, AA will help to eliminate fraud usually connected with physical data sharing.
- Since most MSMEs in India lack adequate collateral for loan applications, AAs can help lay the groundwork for shifting to cash-flow based lending from asset-based lending.

9. PUBLIC TECH PLATFORM FOR FRICTIONLESS CREDIT

WHAT IS A PUBLIC TECH PLATFORM FOR FRICTIONLESS CREDIT?

- It is a one-stop digital platform for credit-related information, developed by the Reserve bank Innovation Hub, to accelerate the loan approval and disbursal process significantly.
- The platform facilitates seamless flow of digital information from various entities like Digital identity authorities, Credit information companies, Account aggregators, State and Central governments.
- Through this seamless flow of information, the platform will facilitate linkages with services such as Aadhaar e-KYC, PAN validation, Aadhaar e-signing, account aggregation, house/property search data, Satellite data, Transliteration, milk pouring data from select dairy co-operatives etc.

WHAT IS THE SIGNIFICANCE OF THIS PLATFORM?

- ***Reduce cost and time of loan disbursal:*** Unlike the traditional credit systems, where individuals need to go through extensive paperwork, credit checks and lengthy approval procedures, the platform seeks to make this process seamless by providing all the required information in one place to facilitate credit.
- ***Financial Inclusion:*** According to NAFIS, around 30% households continue to rely on non-institutional sources for credit. This is mainly due to lack of data to assess the creditworthiness of small and marginal farmers. The digital platform, if successfully implemented, can help redress this challenge.

During the pilot, the platform will focus on products such as ***Kisan Credit Card loans*** up to ₹1.6 lakh per borrower, ***Dairy Loans***, ***MSME loans (without collateral)***, ***Personal loans*** and ***Home loans*** through participating banks.

NATIONAL FINANCIAL INFORMATION REGISTRY (NFIR)

- NFIR is aimed at expediting loan sanctions and credit flows by providing lenders a "360 degree" perspective on potential borrowers.
- The objective is to build a public infrastructure for credit-related information and right information can be made available by the NFIR to lending agencies.
- An NFIR will serve as the central repository of financial and ancillary information.
- Apart from having information about loans, the proposed NFIR would be a repository for ancillary information like tax paid and electricity-consumed patterns.
- This will strengthen cash flow-based lending from collateral-backed sources, facilitate efficient flow of credit, promote financial inclusion, and foster financial stability.

10. UNIFIED LENDING INTERFACE

*The Reserve Bank of India is anticipated to launch the **Unified Lending Interface** (ULI) which aims to revolutionise lending. ULI is poised to target sectors like agriculture and MSMEs, where access to credit has historically been a challenge.*

WHAT IS ULI?

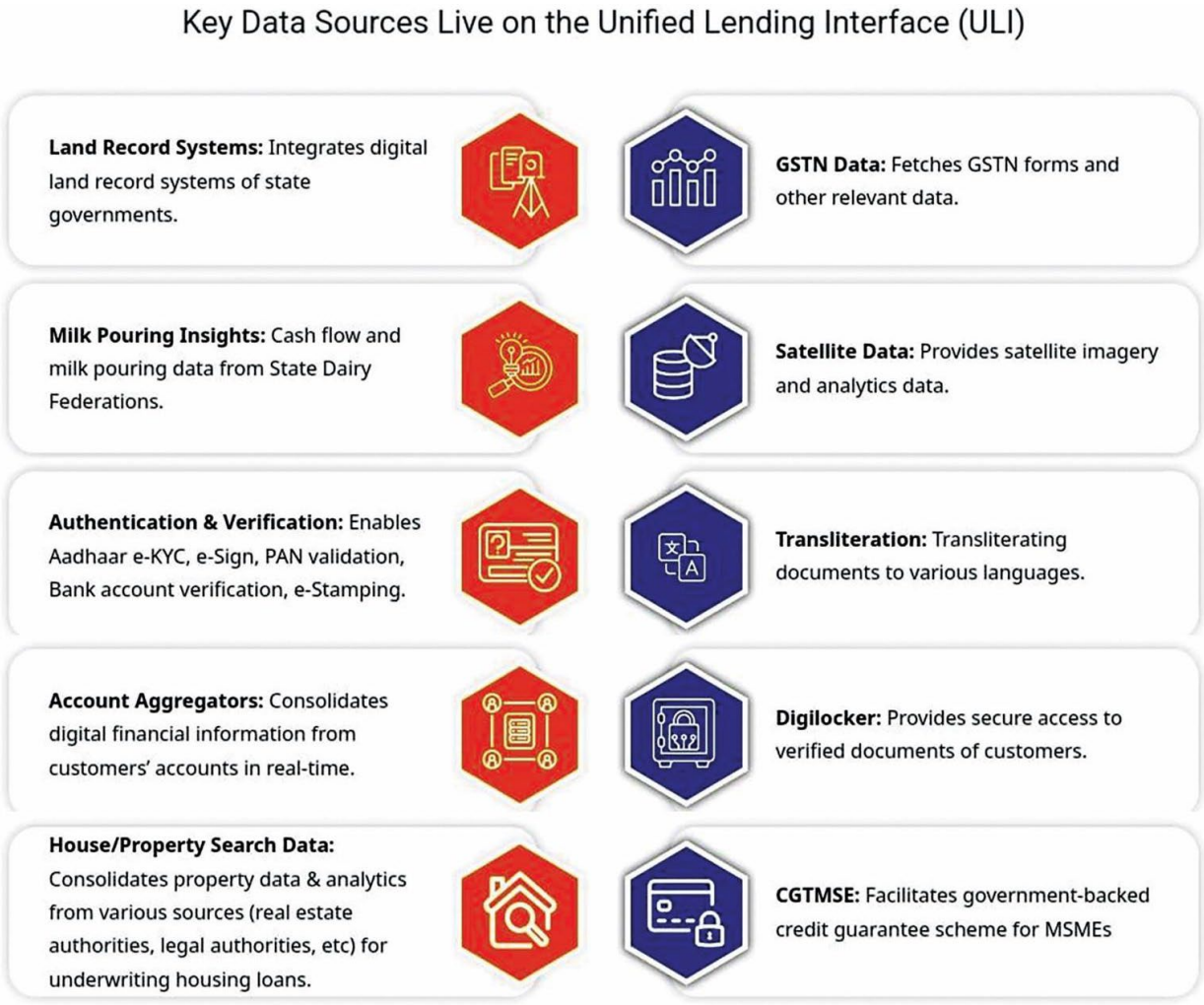
ULI was developed by the **Reserve Bank Innovation Hub (**RBIH). ULI is a technology platform built **to facilitate easy access to authenticated data** from various sources, through standardised APIs to which all lenders can connect seamlessly through a 'plug and play' model.

NEED FOR ULI

- Various financial and non-financial data required by lenders for digital credit delivery often lies in silos across different entities, like Central and State government authorities, Fintechs, Credit Information Companies, etc. Lenders need to **individually connect with all these data sources,** making it highly cumbersome and costly.
- Small farmers often **lack the credit histories and collateral** required to secure loans. Similarly, MSMEs face an estimated credit gap of over $500 billion.
- The new trinity of **JAM-UPI-ULI** is expected to bridge this gap with an inclusive solution, leveraging digital technology to streamline and democratise access to credit.

HOW ULI TRANSFORMS DIGITAL LENDING?

- **Simplifying data collection:** ULI simplifies the loan process by automating data gathering and credit evaluation. It integrates data from financial institutions, government databases, and alternative sources such as land records and satellite imagery. This allows lenders to evaluate borrowers' financial and non-financial standing more efficiently.



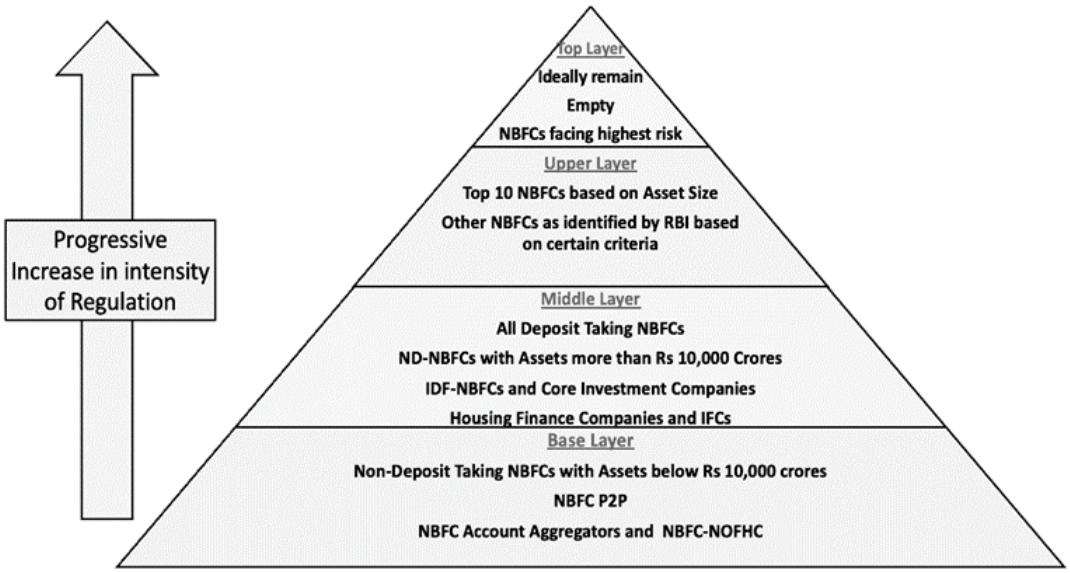
- **Benefits for Borrowers:** Borrowers can digitally authorise ULI to access their data, eliminating the need for physical documents. This **real-time data access** significantly shortens the loan approval process, allowing lenders to make faster, informed decisions.
- **Benefits for Lenders:** Lenders can make quicker and more pragmatic lending decisions, by automating data collection and utilising digital records.
- **Low-cost credit:** Traditional lending often involves third-party data providers, which increase costs. By consolidating multiple data sources into one platform, ULI eliminates intermediaries, reducing costs for lenders and potentially lowering interest rates for borrowers.
- **Faster credit dispersal:** Automating data collection and analysis allow lenders to process more loan applications efficiently.
- **Credit Innovations:** ULI also gives lenders tools to create more tailored financial products.

11. SCALE BASED REGULATIONS OF NBFCs

The Reserve Bank of India (RBI) has released the list of Non-Banking Finance Companies categorised under the upper layer segment (NBFC-UL) for the year 2024-25.

WHAT IS SCALE BASED REGULATION OF NBFCs?

- The scale-based regulation is **based on the principle of proportionality** and **narrows the regulatory arbitrage between** banks **and large NBFCs** while allowing for operational flexibility.
- Under this regulation, NBFCs are **segregated** into four layers **based on their size, activity, and perceived level of** riskiness: (i) Base Layer (NBFC-BL), (ii) Middle Layer (NBFC-ML), (iii) Upper Layer (NBFC-UL), and (iv) Top Layer (NBFC-TL).



REGULATORY CHANGES UNDER THE SBR FRAMEWORK

- **Applicability**: Any regulatory stipulation applicable to a lower layer under the new NBFC categorisation will automatically apply to a higher layer, unless otherwise notified by the RBI.
- **Increase in Net owned Fund (NOF) requirement**: The RBI has increased the minimum net owned fund (NOF) requirement for NBFC-ICC from Rs 2 crores to Rs 10 crores. For NBFC-MFI and NBFC-Factor, the NOF requirement has been increased from Rs 5 crores to Rs 10 crores.
- **Changes to NPA classification norms:** Presently, all NBFCs other than NBFC-MFIs classify loans as NPA if it is due for more than 180 days. The RBI has prescribed a uniform overdue period of more than 90 days for classification of loans as NPA for all categories of NBFCs. Hence, going forward, the NPA classification requirements for banks and NBFCs would be aligned.

- **Extension of PCA Framework:** The Prompt Corrective Action (PCA) framework, applicable to banks, has been extended to NBFCs in the middle and upper layers. Under the PCA framework, NBFCs need to undertake timely remedial measures if they breach the prescribed risk thresholds.

12. RBI LOWERS RISK WEIGHTAGE ON BANKS' EXPOSURE TO NBFCs

The Reserve Bank of India (RBI) has announced a significant reduction in risk weights on bank loans to Non-Banking Financial Companies (NBFCs) by 25 percentage points. This move is aimed at improving credit flow and ensuring financial stability in the banking sector.

BACKGROUND

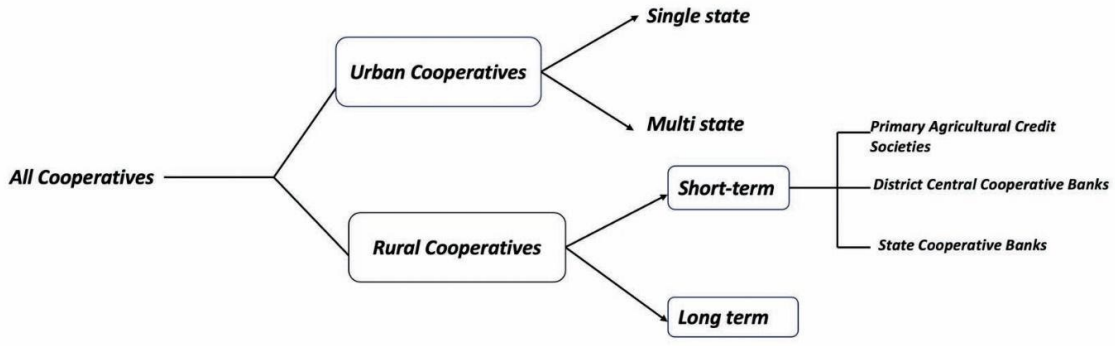
- In November 2023, RBI **increased risk weights on bank exposures to NBFCs** by 25% to 125%, leading to tighter credit conditions and slowing down bank lending.
- RBI has now reversed this decision after evaluating its impact on credit availability and liquidity.
- **Objective:** To enhance credit flow to NBFCs, thereby, improving credit availability for retail borrowers and small businesses.
- **Impact on Microfinance loans:** RBI has also reduced risk weights on microfinance loans under regulatory retail to 75% from 125%.

RISK-WEIGHTED ASSETS (RWAs)

- Risk-Weighted Assets (RWAs) refer to a bank's total assets, adjusted by a risk factor to determine the capital required to mitigate potential losses.
- **How are RWAs calculated:**
  - Each loan or asset is assigned a risk weight based on its risk level.
  - Higher-risk assets require banks to allocate more capital as a safeguard against potential defaults.
- **Regulatory requirement:** Banks must maintain a **Capital Adequacy Ratio (CAR)** to ensure they have sufficient capital to absorb risks.

13. URBAN COOPERATIVE BANKS

The **Reserve Bank of India** is set to replace the **Supervisory Action Framework** with **the Prompt Corrective Action (PCA) Framework** in 2025 for Urban Cooperative Banks.



REGULATION OF URBAN COOPERATIVE BANKS

- UCBs are registered as societies under the Co-operative Societies Act of the respective State Governments, and UCBs that have a multi-State presence are registered under the Multi State Co-operative Societies Act administered by the Government of India.
- While registration, administration, amalgamation and liquidation of UCBs are governed by the provisions of the State Co-operative Societies Acts, banking related functions are governed by the provisions of Banking Regulation Act, 1949 (AACS).

This dual regulation resulted in ambiguity and a lack of clarity, creating additional impediments to effective governance of UCBs.

BANKING REGULATION AMENDMENT ACT (2020)

- ***Prescription of qualification for management:*** The amendment mandates that at least 51% of the members of the Board of Directors have particular expertise in fields such as economics, accounting, banking or law, among others. It enables the Reserve Bank to order a bank to reconstitute its Board if it fails to meet the conditions
- ***Suppression of board of directors:*** Under the original Act, the Reserve Bank of India can supersede the Board of Directors of multi-state cooperative banks for 5 years and appoint an Administrator. The amendment extended this power of RBI to other cooperative banks.
- ***Auditing and winding up:*** The RBI has discretion to order an audit of a cooperative bank and the audit is conducted by the qualified persons appointed with the approval of RBI.
- ***Formulation of scheme for reconstruction or amalgamation without moratorium:*** The amendment allows the central bank to initiate a scheme for reconstruction or amalgamation of a bank without placing it under moratorium.
- ***Issuance of shares and securities:*** A cooperative bank may issue equity shares, preference shares, or special shares and unsecured debentures or bonds or similar securities with maturity of ten or more years.

PROMPT CORRECTIVE ACTION (PCA) FRAMEWORK

- The Prompt Corrective Action (PCA) framework is a set of guidelines used by the Reserve Bank of India (RBI) to evaluate banks. The RBI imposes the PCA framework on banks that show signs of financial stress.
- The PCA framework considers banks to be risky if they fall below certain standards on three parameters Capital, Asset quality and Leverage measured by Capital to Risk Weight Asset Ratio, Net NPAs and Leverage ratio respectively.

PARAMETERS TO IMPOSE PCA FRAMEWORK

	Capital	Asset Quality	Leverage	Profitability
Scheduled Commercial Banks	Capital to Risk weight Asset Ratio (CRAR)	Net Non-Performing Advances (NNPA) ratio	Leverage Ratio	----------
Urban Cooperative Banks	Capital to Risk weight Asset Ratio (CRAR)	Net Non-Performing Advances (NNPA) ratio	----------	Net Profit

The PCA framework allows RBI to place certain restrictions on a bank like restricting their capital expenditure, Dividend distributions and branch expansion.

14. FED RATE CUT

The United States Federal Reserve (henceforth just 'the Fed'), which is in charge of the country's monetary policy, has announced a cut in the benchmark interest rate by 50 basis points in 2024, which was the first rate cut since March 2020.

WHAT IS A FED RATE?

The Fed Rate, or federal funds rate, is the primary tool of monetary policy used by the U.S. Federal Reserve to influence employment and inflation. It affects other interest rates, impacting borrowing costs for households and businesses.

During recessions or economic slowdowns, the Federal Reserve lowers the Fed Rate to increase the money supply, implementing expansionary monetary policy.

IMPLICATIONS FOR US ECONOMY

Spurs demand: When interest rates fall, borrowing becomes cheaper. Households spend more, businesses expand, and increased demand boosts wages, reigniting economic growth.

IMPLICATIONS FOR INDIA

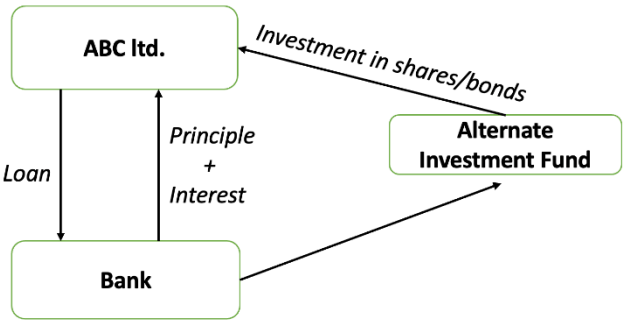
- **Increased Foreign Investments:** A lower interest rate in the U.S. could make Indian assets (stocks, bonds) more attractive to foreign investors as they seek higher returns in emerging markets. This could lead to increased foreign portfolio investment (FPI) in India, driving up Indian stock prices.
- **Reduced Capital Outflows:** When U.S. interest rates are cut, Indian investors and businesses may be less likely to repatriate capital to the U.S., stabilising capital flows within India.
- **Rupee Appreciation:** A Fed rate cut could weaken the U.S. dollar as global investors shift to other currencies offering better returns. This could lead to the appreciation of the Indian Rupee (INR), making imports cheaper but potentially reducing export competitiveness.
- **RBI's Policy Flexibility:** The Reserve Bank of India (RBI) might respond by adjusting its own interest rates. If global liquidity increases due to a Fed rate cut, the RBI could have more flexibility to reduce interest rates in India to support growth without fearing capital flight.
- **Boost to Export Demand:** If the Fed rate cut stimulates growth in the U.S., it may have positive spillover effects on India's exports, particularly in services like IT and business process outsourcing.

15. RBI TIGHTENS NORMS FOR LENDERS INVESTING IN AIF

The RBI bars banks and NBFCs from investing in any scheme of Alternate Investment Funds (AIF) that have downstream investments in a debtor company of the bank. The aim of this move was to avoid indirect evergreening of loans.

WHY DO BANKS RESORT TO EVERGREENING OF LOANS?

Evergreening of loans involves extending more loans to debt-ridden companies to repay their old loans with such banks. Banks often evergreen the loans to avoid reporting of stressed assets and thereby avoiding the burden of provisioning requirements.



Indirect evergreening of loans

ASSET CLASSIFICATION AND PROVISIONING NORMS

RBI categorizes loans and advances into various asset classifications based on their performance. Each category has specific provisioning requirements to account for the increasing level of risk associated with them.

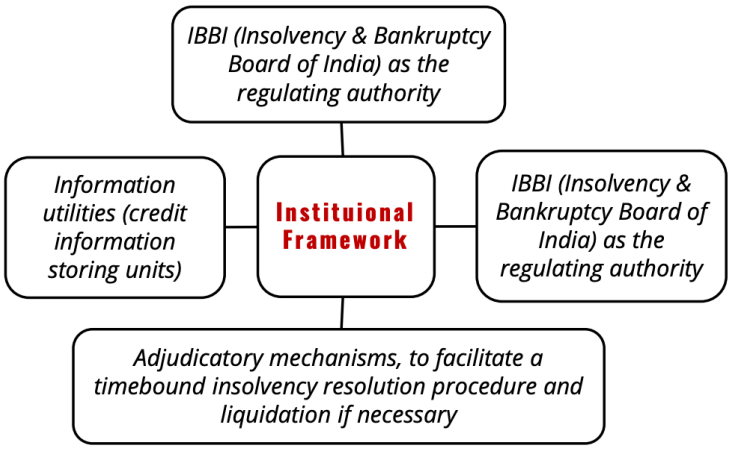
Provisioning is a mechanism to deal with bad assets. Under provisioning, banks have to set aside some funds to a prescribed percentage of their bad assets. The percentage of bad assets that has to be 'provided for' is called provisioning coverage ratio. The provisioning coverage ratio is the percentage of bad assets that the bank has to provide for from their own funds –most probably from profit.

Asset Category	Provisioning Ratio
Standard asset (regular in paying interest)	0.25% to 0.40% depending on the type of the loan
Sub-standard asset (the loan is NPA up to 12 months)	15% to 25% based on the duration of default
Doubtful asset (sub-standard asset for a period exceeding 12 months)	25% to 100%, depending on the duration of default
Loss Asset (These assets are considered irrecoverable)	100%

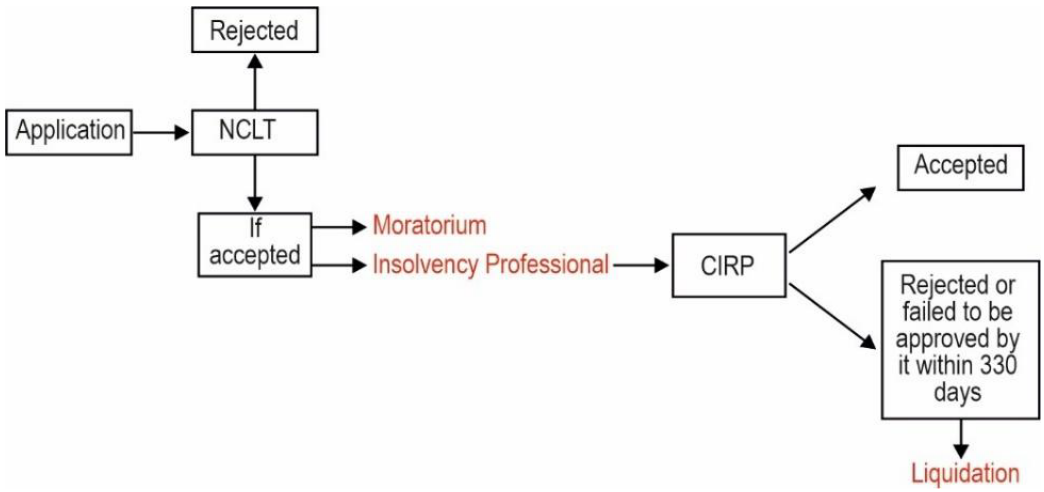
16. INSOLVENCY AND BANKRUPTCY CODE

*The recent **Supreme Court judgment** in **Jet Airways case** highlighted the structural infirmities in India's insolvency regime.*

Objective: The IBC, which came into existence in 2016, aimed to create a single, comprehensive framework that would provide a time-bound and cost-effective process for resolving insolvency and bankruptcy.



The IBC seeks to achieve the stated objectives through a well-defined process that includes various stages, including initiation of insolvency, appointment of an insolvency professional, resolution plan, and liquidation.



INITIATION	CORPORATE INSOLVENCY RESOLUTION PROCESS	LIQUIDATION
Minimum amount of default: • *₹ 1000 (for Individual)* • *₹ 1cr (for Companies)* ***Initiators:*** • *Debtor* • *Secured & Unsecured creditors* • *Employees* ***Adjudication Authority:*** • *DRT (for* individuals*)*	• In case the application is admitted by the adjudicating authority, a moratorium is declared on all the legal proceedings against the debtor until the completion of the CIRP. • A resolution professional is appointed by the NCLT who supersedes the board of directors of the debtor company and supervises its assets. • The Resolution Professional would help in chalking out a resolution plan and get it approved by the	• If either the Resolution plan is rejected by the CoC or failed to be approved by it within 330 days, the process of liquidation kicks in automatically. • The proceeds of liquidation are distributed among secured creditors, unsecured creditors, Govt dues, Preferential shareholders etc. in the respective order of priority.

• *NCLT (for companies)*	committee of creditors (CoC) with a majority of 66%.	

17. RBI GUIDELINES ON INOPERATIVE ACCOUNTS & UNCLAIMED DEPOSITS

INOPERATIVE ACCOUNT	UNCLAIMED DEPOSITS
• A savings/current account shall be treated as inoperative if there are no 'customer induced transactions' in the account for a period of over two years. Thus, bank induced transactions will not be considered for classifying any account as inoperative. • Interest on savings accounts shall be credited on a regular basis irrespective of the fact that the account is in operation or not. • Banks shall activate inoperative accounts/unclaimed deposits, including freeze accounts only after adhering to KYC guidelines such as Customer Due Diligence, Customer identification, risk categorisation etc. • Accounts opened for scholarships and direct benefit transfer under Government Schemes are exempted from this classification.	• The credit balance in any deposit account maintained with banks, which have **not been operated upon for ten years or more** are classified as Unclaimed deposits. • The unclaimed deposits to be transferred by banks to **Depositor Education and Awareness (DEA) Fund Scheme** maintained by the RBI.

18. RBI DIVIDEND PAYMENTS TO GOVERNMENT

The Reserve Bank of India (RBI) is likely to pay a record dividend of around Rs 2.5 lakh crore to the government for the financial year 2024-25 (FY25), according to economists and analysts. This would be higher than last year's large payout of Rs 2.1 lakh crore and could reduce the government's need to borrow more money this year.

SOURCE OF EARNINGS FOR RBI

- Interest on Government securities held
- Interests on loans and advances made
- Interest earned on Liquid Adjustment Facility operations
- Interest income from foreign currency assets held
- Earnings from forex swaps
- Seigniorage

Composition of RBI's balance sheet	
Liabilities	**Assets**
• Capital Reserves • Revaluation Accounts • Deposits of Banks and Government • Currency notes in circulation	• Foreign Currency Assets • Gold • Investments in domestic securities • Loans & Advances

- **Capital reserves:** Two important components are
  - **Contingency fund:** The fund is set aside by RBI for meeting unforeseen contingencies like risks arising out of monetary policy operations, exchange rate risks or systemic risks.
  - **Asset development fund:** This fund is set aside for investments in subsidiaries and associate institutions and to meet internal capital expenditure.

    These two funds are considered as Risk provisions of the RBI and provisioned from the earnings of RBI. Such capital required to withstand risks is also known as Economic Capital.

- **Revaluation Accounts:** RBI maintains revaluation accounts to insulate its assets (Gold, foreign currency, Investments in domestic and foreign securities) from prevailing market trends. They include Currency and Gold Revaluation Account (CGRA), Investment Revaluation Account (IRA) and Foreign Exchange Forward Contracts Valuation Account (FCVA).
- **Deposits:** In its traditional role as a banker to the government, RBI usually accepts government deposits, which constitutes a liability for the central bank. The central bank also accepts deposits from other banks and other financial institutions.
- **Currency notes in circulation** are a liability of the central bank.

HOW IS THE SURPLUS SHARED WITH THE CENTRAL GOVERNMENT?

After meeting the risk provisions and other operational expenditures (salaries etc.) from the earnings of RBI, the surplus is transferred to the central government in the form of dividends. Surplus transfer from the Reserve Bank is an important component of non-tax revenues to the central government. However, the quantum of dividends shared with the central government depends upon the amount of money provided for risk provisioning, especially for contingency funds.

There occurred a controversy regarding the excess capital reserves accumulated with the RBI and sharing of dividend with the central government in 2018. To sort out this controversy a committee (Bimal Jalan committee) was appointed to review the Economic Capital Framework. The Committee had prescribed a Contingency Risk Buffer in the range of 5.5% to 6.5% of its balance sheet.

19. FOREX SWAP AUCTION

The Reserve Bank of India (RBI) announced to conduct a $5 billion worth of USD/INR buy/sell swap in the month of January 2025.

WHAT IS A FOREX SELL/BUY SWAP AUCTION?

- It is a **forex management tool** under which the Central Bank (RBI) sells foreign currency (US Dollar) to banks and then buys the same from the bank at a later date.
- Thus, under the Dollar-Rupee sell/buy swap, **RBI sold $5 billion dollars to Indian banks in exchange of rupees** and immediately entered into an agreement with dollar buying banks. **promising to buy dollars at a later date**.

SIGNIFICANCE OF THE MOVE

- The issuance of Forex sell/buy swap **reduced the availability of rupee in the Indian markets** and **reduced inflationary pressures** on the Indian economy.
- This **helps to control inflation without increasing the Repo Rate** which hurts the businesses.
- The issuance of Forex buy/sell swap also **strengthened the demand of the rupee vis-a-vis the dollars**.

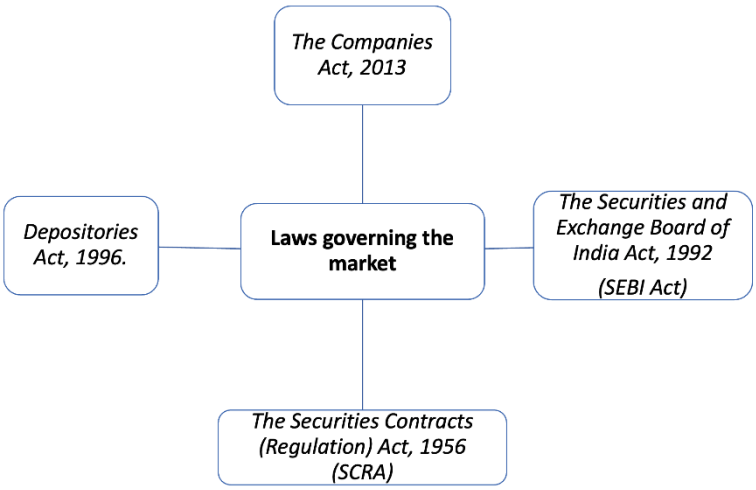
2 CHAPTER FINANCIAL MARKETS

1. STOCK MARKET REGULATION IN INDIA

Finance secretary Tuhin Kanta Pandey has been appointed as the new chairman of the Securities and Exchange Board of India (SEBI) for a three-year term, following approval from the Appointments Committee of the Cabinet.

ABOUT STOCK MARKETS

- It is a place where shares of public listed companies are traded.
- The primary market is where companies float shares to the public in an initial public offering (IPO) to raise capital.
- Once new securities have been sold in the **primary market**, they are traded in the secondary market - where one investor buys shares from another investor at the prevailing market price or at whatever price both the buyer and seller agree upon. The **secondary market** or the stock exchanges are regulated by the regulatory authority.



- In India, the secondary and primary markets are governed by the **Security and Exchange Board of India (SEBI).**
- A stock exchange facilitates stockbrokers to trade company stocks and other securities. A stock may be bought or sold only if it is listed on an exchange. Thus, it is the meeting place of the stock buyers and sellers. India's premier stock exchanges are the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE).

2. VIRTUAL DIGITAL ASSETS

India's Income Tax Bill 2025 introduces a comprehensive legal framework for Virtual Digital Assets (VDAs).

What are Virtual Digital Assets?

- Any information, code, number, or token generated by way of cryptographic or other means and (a) has inherent value or (b) Act as Unit of account or (c) Act as store of value.
- It can be transferred, stored, or traded electronically.
- It includes all the crypto assets, stable coins, Non-Fungible Token (NFT) etc.
- **Exclusion:** VDAs will exclude: Gift card or vouchers, Reward points or loyalty cards.

TAXATION OF VIRTUAL DIGITAL ASSETS

- **VDAs as Property and Capital Assets:** For the first time in India, the Income Tax Bill, 2025 explicitly treats VDAs as property and capital assets. This means that any gains arising from their sale, transfer, or exchange will be taxed under capital gains provisions, similar to real estate, stocks, and bonds.
- **Taxes on VDAs:**
  - **Capital Gains Tax:** The bill imposes a 30% capital gains tax on VDA transfers.

- **TDS on VDA transfers:** There will be 1% TDS (Tax Deducted at Source) on transfers of VDAs.

- **Inclusion of VDAs in Undisclosed Income Taxation**: If an individual fails to report VDA holdings in their tax filings, they can be classified as undisclosed income.
- **Compliance from Crypto trading Platforms:** Any entity dealing in crypto assets — including exchanges, wallet providers, and even individual traders — is required to **report transaction**s in a prescribed format.

3. INDIAN GOVERNMENT BOND IN GLOBAL BOND INDEX

As per the Economic Survey 2025, Foreign portfolio investors (FPI) invested Rs 62,431 crore in government bonds till November after their inclusion in the JP Morgan index.

BACKGROUND

JPMorgan included Indian government bonds in its Government Bond Index-Emerging Markets (GBI-EM) from June 2024.

A bond index is a fixed-income index and a benchmark that measures the performance of a specific segment of the bond market. Bond indices are used by investors to track the overall performance of a group of bonds.

ADVANTAGES	POTENTIAL RISKS
• ***Reduces cost of borrowing:*** Inclusion of Indian government bonds in this global index will broaden its bond market and help in mobilising resources at cheaper cost. • ***Reduces interest rates in the domestic market:*** Since market interests' rates in India are benchmarked to g-secs, any reduction in g-sec interest rates will eventually be translated into reduction in interest rates of the banks. • ***Accumulation of forex reserves:*** It is expected that around $30 billion are going to be pumped into India's sovereign bond market within a year and it will help India in building a huge forex reserve base. • ***Deepening of corporate bond market:*** Inclusion of IGB in global indices will enable the government to vacate domestic market space for corporate bonds thereby deepening the corporate bond market in India. • ***Internationalisation of currency:*** This move will boost confidence of investors over our currency and helps in achieving the goal of internationalisation of Indian rupee.	• ***Currency appreciation:*** Increased foreign inflows as a result of inclusion of Indian bonds in the global index may appreciate the Indian currency thereby making Indian exports uncompetitive. • ***Vulnerability to external factors:*** During globally uncertain times, there could be volatility in the Indian bond market or in the currency because of the holding of Indian G-Sec by foreigners. • ***Monetary policy priorities:*** With growing demand for G-secs from foreign investors, the monetary policy may need to control the volatility of yield of g-secs which may come in conflict with its objective of inflation control.

4. SOCIAL STOCK EXCHANGE (SSE)

SEBI has proposed a new framework for Social Stock Exchanges with changes in the definition of Not-for-Profit (NPO) organisation and expansion of eligible activities to be identified as social enterprise.

- Social Stock Exchange (SSE) is a separate segment of the existing Stock Exchange that can help Social Enterprises to raise funds from the public through the stock exchange mechanism.
- Social Stock Exchange identifies the following two forms of social enterprises: Not-for-profit organization and For-profit social enterprise.

Not-for-profit Organisations	For Profit Organisations
• Not for profit organisations are either charitable societies registered under the Societies Registration	• A for-profit company is any company under the Companies Act, 2013, operating for profit and

Act, 1860 or section 8 companies under Companies act 2013.	does not include a company incorporated under section 8 of the Companies Act, 2013.
• A Not-for-Profit organization may raise funds on Social Stock Exchange through: ○ Issuance of Zero Coupon Zero Principal Instruments. ○ Donations through Mutual Fund Schemes.	• A For Profit Social Enterprise may raise funds through: ○ Issue of equity shares ○ Issue of equity shares to mutual funds ○ Issue of debt-instruments
• Zero Coupon Zero Principal Instruments shall be issued only by a Not-for-Profit Organization registered on a Social Stock Exchange.	• For-profit organisations cannot issue Zero Coupon Zero Principal bonds.
• The instruments issued by Not-for-Profit Organizations are not available for trading in the secondary market.	• The instruments issued by For-Profit Organizations are available for trading in the secondary market on respective platforms of the Stock Exchanges, on which they are listed.

ZERO COUPON ZERO PRINCIPAL INSTRUMENTS

- ZCZP instruments are structured like a bond. In a regular bond, the entity raising money using a bond, has to make interest payments and principal payments when the bond matures. However, the ZCZP is issued by an entity not raising loans but donations. Thus, the ZCZP issuing entity does not have to pay interest (zero coupon) and does not have to pay the principal (zero principal) either.
- ZCZP are non-transferable.

5. SPECIALISED INVESTMENT FUND

Securities and Exchange Board of India (SEBI) recently allowed mutual funds to introduce a new asset class- Specialised Investment Fund. The product is to be launched from April 1, 2025.

About Specialised Investment Fund:

- SIF is an investment option designed for people who understand the markets and are willing to take higher risks for potentially higher returns.
- **Minimum investment** at least ₹10 lakhs.

SIF vs. Mutual Funds vs. Portfolio Management Services vs. Alternative Investment Funds:

Aspect	SIF	Mutual Funds	PMS	AIFs
Minimum Investment	₹10 lakh	₹500 or more	₹50 lakh	₹1 crore
Risk Level	High	Varies from low-moderate-high	Higher risk due to concentrated portfolio	High, depending upon the category
Flexibility	More freedom to fund managers in investment strategies	Limited by predefined strategies	High; tailored investment to meet specific financial goals	High flexibility, including investments in unlisted securities
Target Investors	Experienced investors	Retail and small investors	High-net-worth individuals (HNIs)	Institutional investors and HNIs

6. GOVERNMENT DISCONTINUES GOLD MONETISATION SCHEME

The Ministry of Finance has announced plans to discontinue Medium- and Long-term deposits under the Gold Monetisation Scheme from March 26, 2025. The banks may continue (at their discretion) Short-Term Gold Deposits (1-3 years) under the scheme.

GOLD MONETISATION SCHEME

- **Launched in** 2015, GMS facilitated the deposition of idle gold held by households, trusts and various institutions in India.
- **Aim:**
  - To make idle gold productive and let consumers to either sell their gold or store it with banks.
  - To reduce the country's gold imports and thus, reduce the current account deficit.
- **GMS consisted of three components:**
  - Short-term bank deposit (1-3 years)
  - Medium-term government deposit (5-7 years)
  - Long-term government deposit (12-15 years)
- **The minimum deposit** allowed was 10 gm of raw gold (bars, coins, jewellery excluding stones and other metals). There was no maximum limit for deposit under the scheme.

GOLD MONETISATION INTEREST RATE

- **For Short-term bank deposit:** Interest rate payable is decided by the banks on the basis of the prevailing international lease rates, other costs, market conditions, etc., and is borne by the banks.
- **For Medium and Long-term deposits:** Interest rate is decided by the government, in consultation with the RBI and borne by the Central government.

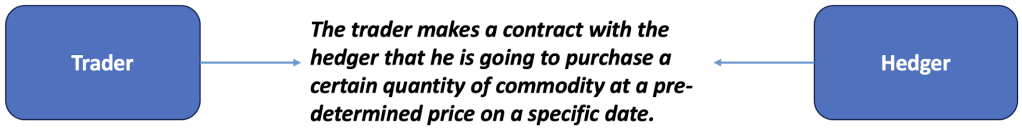
7. COMMODITY DERIVATIVES MARKET

The Indian government has permitted derivatives trading in 11 more commodities including skimmed milk powder, cement, apple, bamboo and timber based on a recommendation from the Securities and Exchange Board of India (SEBI).

WHAT IS A DERIVATIVE?

A Derivative is a financial instrument whose value is based upon the value of an underlying asset like equities, currency or commodities or other financial assets. A derivative contract, which has a commodity as its underlying, is known as a 'commodity derivative' contract. Most common types of derivative instruments are forwards, futures, options, and swaps.

Future & Options contract in derivative market



Futures and Options are two important derivative instruments that are traded in the commodity derivative market. In a future contract, the buyer has the obligation to buy/sell the assets. Whereas, in an option contract, customers have no obligation to buy/sell the assets.

BENEFITS OF COMMODITY DERIVATIVE MARKETS

- ***Hedging:*** It is a price risk management tool adopted by actual users such as processors, miners, exporters, importers, manufacturers, etc. Hedging means taking a position in the derivatives market with an objective of reducing or limiting risks associated with price changes.
- ***Price discovery:*** Speculation is the practice of trading in order to profit quickly from price changes. Speculators never use the item for physical purposes because their goal is to benefit quickly from price fluctuations. This contributes to transparent price discovery in the underlying commodity markets.

Commodities that are suitable for derivative trading:

- The commodity should have relatively large demand and supply.
- Prices should be adequately volatile.
- The commodity should be free from substantial control from Govt.
- Regulations in terms of supply, distribution and prices.
- The commodity should preferably have a long shelf-life.

8. FORWARD TRADING IN G-SECS

The Reserve Bank of India (RBI) has decided to allow **forward contracts in government securities (G-secs)** to enable **market development** and aid financial institutions to **hedge against interest rate risks**.

WHAT IS A FORWARD CONTRACT?

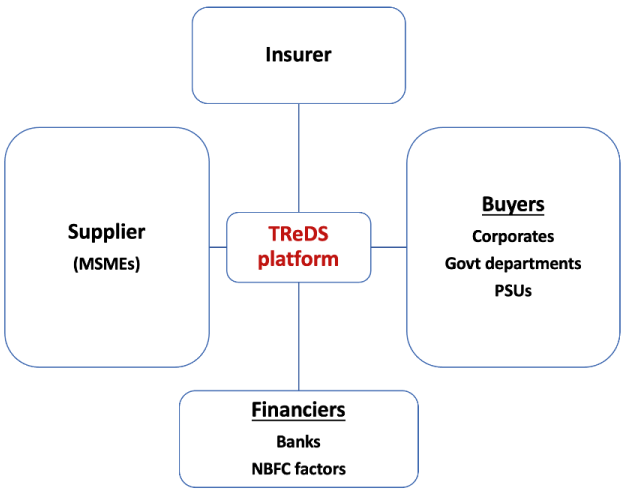
- **Meaning:** It is a customised contract between two parties to **buy or sell** an asset at a **specified price** on a **future date**.
- **Use:** A forward contract can be used for **hedging (risk management)** or **speculation (profit from price changes).**
  - **Hedgers:** People who want protection from price changes.
  - **Speculators:** People who want to profit from guessing future prices.

RATIONALE FOR INTRODUCING FORWARD CONTRACTS IN G-SECS:

- Enable long-term investors such as **insurance funds** to **manage their interest rate risk across interest rate cycles.**
- Enable **efficient pricing of bond-based derivatives** (derivatives that use bonds as underlying instruments).
- Allows market participants to **hedge against interest rate fluctuations** or to **speculate on future price movements** of G-secs.

9. TRADE RECEIVABLES ELECTRONIC DISCOUNTING SYSTEM

Supply chain platform KredX received approval from the Reserve Bank of India (RBI) to launch its Trade Receivables Discounting System (TReDS) platform under the brand name DTX (Domestic Trade Exchange). This is the fifth platform to receive the RBI's nod to operate TReDS.



WHAT IS TReDS?

- TReDS is an electronic bill discounting platform regulated by the RBI framework and a joint venture between SIDBI and NSE to provide MSMEs instant payments for outstanding trade receivables.

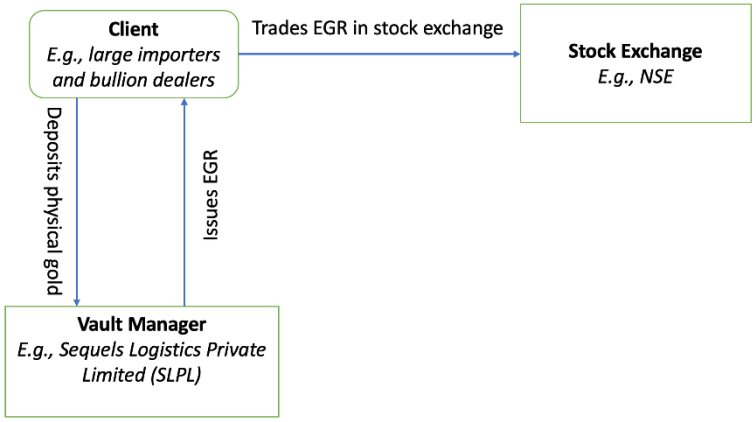
- It facilitates the financing / discounting of trade receivables of Micro, Small and Medium Enterprises (MSMEs) through multiple financiers. These receivables can be due from corporates and other buyers, including Government Departments and Public Sector Undertakings (PSUs).
- Only MSMEs can participate as sellers in TReDS. Corporates, Government Departments, PSUs and any other entity can participate as buyers in TReDS. Banks, NBFC - Factors and other financial institutions as permitted by the Reserve Bank of India (RBI), can participate as financiers in TReDS.
- Recently RBI expanded the scope of TReDS to give further impetus to MSMEs:
  - Insurance companies will be permitted to participate as a "fourth participant" on TReDS, apart from the MSME sellers, buyers and financiers.
  - All entities / institutions eligible to undertake factoring business under the Factoring Regulation Act will be permitted to participate as financiers in TReDS.
  - Secondary market operations will now be enabled on TReDS platforms. This would allow financiers to offload their existing portfolio to other financiers within the same TReDS platform, if required.

10. TRANSITION BONDS

'Transition Bonds' are debt instruments that facilitate transition of a carbon-intensive business into decarbonizing business and eventually achieving the Net Zero emissions targets. These bonds enable India to achieve its Intended Nationally Determined Contributions committed under Paris agreement.

11. ELECTRONIC GOLD RECEIPT

- EGR is an electronic receipt issued by the Vault Manager against the gold deposited with them. EGR is notified as a "security" and will be traded on the stock exchange like any other security.
- The client, who receives EGR on depositing gold with the vault manager, can trade in EGR online by registering with a stockbroker.
- The buyer of the EGR can continue to hold the EGR in demat account for further trading or take the physical delivery of gold from the Vault Manager. Once the physical gold is delivered, the EGR issued by the vault manager is extinguished.



- In general, electronic gold trading happens in India through gold derivatives or gold exchange-traded funds on the designated stock exchanges. Electronic Gold Receipt is the first spot physical gold exchange trading product.
- EGRs are a way of getting people to not hoard gold physically by creating an exchange that provides transparent pricing and liquidity (to cash or back to gold).

12. SOVEREIGN GOLD BOND SCHEME

*The Union government is considering **discontinuing the sovereign gold bond scheme** due to the high cost of financing the scheme. The recent developments like reduction of import duty on gold in the Union budget 2024-25, have raised the questions over the effectiveness of the SGB scheme.*

WHAT ARE SOVEREIGN GOLD BONDS (SGBS)?

- **Definition:** SGBs are government securities (**debt securities**) denominated in grams of gold. They are substitutes for holding physical gold. Investors have to pay the issue price in cash and the bonds will be redeemed in cash on maturity. The Bond is issued by the **RBI** on behalf of the Government of India.

- **Key Features**:
  - **Denomination**: One gram of gold and in multiples thereof.
  - **Minimum investment**: One gram with a maximum limit of 4 kg for individuals, 4 kg for Hindu Undivided Family (HUF) and 20 kg for trusts and similar entities notified by the government.
  - **Interest rate:** 2.50% (fixed rate) per annum on the amount of initial investment.
  - **Maturity Period:** 8 years
  - **Lock-in Period:** 5 years
- The money raised through SGBs is counted as part of **Fiscal Deficit.**
- SGBs are taxable as per the provisions of the **Income-tax Act, 1961**. The capital gains tax on redemption of SGB to an individual has been exempted.

RATIONALE OF SOVEREIGN GOLD BONDS SCHEME

- To encourage citizens to invest in gold bonds. This would reduce the demand of physical gold and thus reduce gold imports. (Gold imports are a significant contributor to India's trade deficit).
- To shift a part of the domestic savings used for the purchase of physical gold into financial savings.

WHO CAN INVEST IN THE SGBS?

- Persons resident in India as defined under **Foreign Exchange Management Act, 1999**.
- Eligible investors include individuals, HUFs, trusts, universities and charitable institutions.

13. ANGEL TAX

The Delhi High Court has upheld that taxpayers can choose an option for Angel Tax valuation. However, The Income Tax Department can doubt or reject the valuation report adopted by the taxpayer, but it cannot independently evaluate the face value of shares by using a valuation method other than the one chosen by the taxpayer.

WHAT IS ANGEL TAX?

- Angel tax refers to the **income tax (30.6 %)** imposed on any unlisted company (usually startup enterprises) in receipt of investment which is above the fair market value. Such investment is treated as income from other sources for the tax purpose.
- This tax was **introduced in 2012** in the form of **Section 56 (2) of the Income Tax Act** to plug money laundering practices.
- Earlier, angel tax provisions were applicable only for investments received from resident investors. However, the Budget for FY2023 has extended its applicability to non-resident investors as well.
- **Purpose:** The objective of introducing this tax was to deter the generation and use of unaccounted money through subscription of shares of a closely held company, at a value which is higher than fair market value and to restrict round tripping of cash.

ISSUES WITH ANGEL TAX

- **Assessment of Fair Market Value:** Calculating a start-up's fair market value is very subjective and is often based on negotiations between the startup and the investor. Often differences occur between the tax authorities and start-ups over the methodology used to calculate the "Fair Market Value(FMV)".

Discounted Cash Flow (DCF) Valuation	Net Asset Value (NAV) Method
It is a method that determines whether an investment is worthwhile based on future cash flows. It is based on the idea that a company's value is determined by how well the company can generate cash flows for its investors in the future.	It represents the market value per share for a particular company. It is calculated by deducting the liabilities from total asset value divided by the number of shares.

Exemptions: Start-ups which are registered with the Department of Promotion of Industry and Internal Trade are excluded from the purview of angel tax provisions. However, there are many unregistered start-ups and hence this tax has a potential to significantly impact capital flows to start-ups and foreign direct investments.

14. UNIFIED PENSION SCHEME

The Pension Fund Regulatory and Development Authority (PFRDA) has notified the operationalisation of the Unified Pension Scheme for the Central Government employees covered under the National Pension System.

KEY FEATURES OF UNIFIED PENSION SCHEME

- **Assured pension:** 50% of the employee's average basic pay drawn over the last 12 months before superannuation for a minimum qualifying service of 25 years.
- **Assured family pension:** Upon a retiree's death, their immediate family would be eligible for 60% of the pension last drawn by the retiree.
- **Inflation Indexation:** Pension amounts are adjusted for inflation using the All India Consumer Price Index for Industrial Workers (Dearness Relief).
- **Lumpsum payment at superannuation:** Subscribers receive a lump sum payment upon retirement, supplementing their regular pension.
- **Contributory Scheme:** Similar to the National Pension System (NPS), the scheme is funded by contributions from:
  - Employees: 10% of their basic pay plus Dearness Allowance (DA).
  - Government: 18.5%.
- **Implementation Timeline:** The regulations for the operationalisation of UPS come into effect from April 1, 2025.

ELIGIBILITY CRITERIA

The UPS is applicable to the following categories of Central Government employees:

- **Existing employees:** Those in service as of April 1, 2025, and currently covered under NPS.
- **New recruits:** Individuals joining Central Government services on or after April 1, 2025.
- **Retired employees:** Employees who were under NPS and have superannuated or retired before March 31, 2025.

Comparing various Pension Schemes:

Feature	Unified Pension Scheme (UPS)	New Pension Scheme (NPS)	Old Pension Scheme (OPS)
Type of Scheme	Hybrid (Assured pension + contribution-based)	Contribution-based	Defined benefit (assured pension)
Applicability	Central govt. employees; State government has option to adopt	Central and state government employees (except armed forces)	Central and state government employees before April 1, 2004.
Pension Guarantee	Minimum pension guaranteed	No assured pension; depends on market returns	50% of last drawn salary as pension guaranteed
Employee Contribution	10% of salary; govt. contributes 18.5%.	10% of salary; 14% by the government for central employees.	No contribution from employees (fully funded by govt)
Inflation Adjustment	Yes (dearness relief linked to inflation index)	No guaranteed inflation adjustment	Yes (DA revisions based on inflation)

Withdrawal Options	Lumpsum + monthly pension	60% lumpsum, 40% annuity	No lumpsum withdrawal, only pension
Family Pension	60% of pension amount to dependents	Not guaranteed but depends on chosen annuity plan	50% of pension amount given as family pension

15. SOVEREIGN CREDIT RATINGS

S&P revised its outlook on India from 'stable' to 'positive' after a decade, with a vague assurance that a ratings upgrade from BBB minus (bottom of investment grade) may follow suit in a couple of years.

WHAT ARE SOVEREIGN CREDIT RATINGS?

- Sovereign Credit Ratings (SCR) **provide independent evaluations of a country's capacity to fulfil its debt obligations.**
- These ratings are determined based on factors like a nation's economic and political stability, **indicating its financial health and level of default risk.**
- Such assessments are formed through a combination of publicly available data and confidential information shared by entities such as foreign currency reserves and capital market transparency.
- **SCR is categorised into two main grades:**
  - **Investment Grade**, which encompasses ratings from the highest creditworthiness to moderate credit risk
  - **Speculative Grade**, which involves a higher potential for default or a past occurrence of default.

CONSEQUENCES OF LOWER CREDIT RATINGS

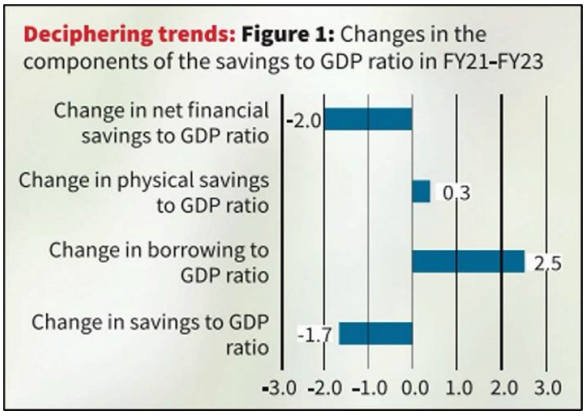
- **Reduced Investor Confidence:** Poor ratings discourage investment in emerging economies, including India.
- **Higher Borrowing Costs:** Such ratings heighten credit risk perception, prompting higher interest rates to attract investors.
- **Financial Market Instability:** Market turbulence may result, as institutional investors often prioritise investment-grade instruments.

16. RISING DEBT STRAINS HOUSEHOLD SAVINGS

The bone of contention in the recent debate has been the drastic fall in household net financial savings to GDP ratio during FY23 on account of a higher borrowing to GDP ratio. Today's article highlights signs of structural shifts in the Indian economy.

WHAT IS HOUSEHOLD SAVINGS?

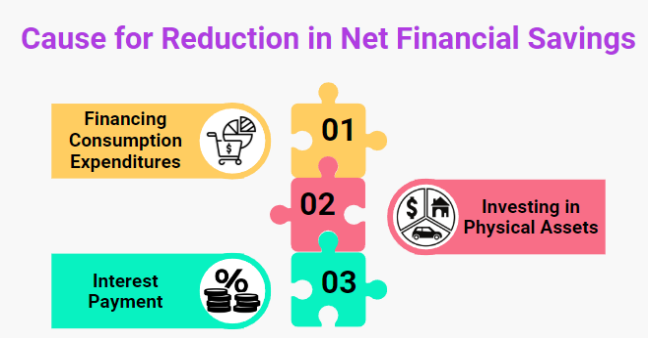
- The household savings is the **sum of** its **net financial savings**, **physical savings** and **gold and ornaments.**
- **Net financial savings** = Gross financial savings - borrowing.
- **Physical Savings** include bank deposits, currency, financial investments in mutual funds, pension funds, etc.
- **Household borrowing** includes credit from non-bank financial corporations and housing corporations, credit from commercial banks.



TRENDS IN HOUSEHOLD SAVINGS

- Let us understand the changes in household savings during 2022-23 as compared to 2021-22.

- You can see that due to changes in its composition, **the household savings to GDP ratio declined by 1.7% points.**
- Hence, it can be argued that **lower net financial savings** to GDP ratio and **higher borrowing** to GDP ratio largely **reflects a greater interest payment burden of the household**, leading to an increase in financial distress of the household.



IMPLICATIONS OF HIGHER DEBT BURDEN



Debt Repayment and Financial Fragility: When households fail to meet debt repayments, it reduces income for the financial sector, leading to weakened balance sheets for lenders. This can result in decreased credit availability to households and the non-financial sector.

Impact on Consumption Demand: The household sector drives a large part of consumption in India. With declining household wealth, consumption expenditure may further decrease as households focus on saving to preserve their wealth.

Declining Investment in the Economy: Reduced household savings can lower overall savings in the economy, affecting banks and government investment, ultimately decreasing overall investment levels.

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3 CHAPTER PAYMENTS SYSTEMS

1. PAYMENTS INFRASTRUCTURE DEVELOPMENT FUND (PIDF) SCHEME

Multi-fold Increase in the deployment of payment acceptance devices by adding 30 lakh touch points every year. The scheme is expected to benefit acquiring banks/non-banks and merchants by lowering overall acceptance infrastructure cost.

- Set up by the RBI to encourage acquirers to deploy Points of Sale (PoS) infrastructure (both physical and digital modes).
- The RBI will make an initial contribution of Rs 250 crores to the PIDF covering half the fund and remaining contribution will be from card issuing banks and card networks operating in the country.

TYPES OF ACCEPTANCE DEVICES COVERED

- Physical devices supporting underlying card payments, such as physical PoS, mPoS (mobile PoS), GPRS (General Packet Radio Service), PSTN (Public Switched Telephone Network) etc.
- Digital devices such as QR code-based acceptance infrastructure.
- Other contemporary devices with hybrid or alternative mode of acceptance
  - **Soundbox devices:** Providing instant audio payment confirmation, along with payment acceptance by 'scan & pay' and Near Field Communication.
  - **Aadhaar-enabled biometric devices:** Certified biometric scanner devices facilitating Aadhaar authentication for acceptance of payment by merchant through BHIM Aadhaar Pay.

RECURRING CONTRIBUTION

- Besides the initial corpus, PIDF will receive annual contribution from card networks and card issuing banks:
- **Turnover based contribution from card networks:** 0.01 paisa per Rupee of transaction.
- **Turnover based contribution from card issuing banks:** 0.01 paisa and 0.02 paisa per Rupee of transaction for debit and credit cards respectively.
- RBI shall contribute to yearly shortfalls, in any.

2. OPEN NETWORK FOR DIGITAL COMMERCE (ONDC)

As the platform recently surpassed the 10,000 daily order mark, Open Network for Digital Commerce (ONDC) is all set to change the duopoly in online food delivery services in India by cutting down the middleman between the business and the consumer. Currently, the service is live in select cities like Bengaluru, and ONDC is said to benefit both businesses and customers at the same time.

WHAT IS ONDC?

- ONDC is being established as a first-of-its-kind initiative globally to pave the way for reimagining digital commerce in India and establishing a globally replicable model for digital commerce.
- It represents a **paradigm shift from an operator-driven monolithic platform-centric model**, where the buyer and seller must be part of the same platform/ application to enable transactions between them. Instead, **it encourages a facilitator-driven, interoperable decentralised network**, where buyers and sellers can transact no matter what platform/application they use to be digitally visible/available enabling the flow of value.

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- It will be an open network **developed on open protocols** based on **open-source specifications** with established **registries**, enabling **wide-scale participation** by digital commerce ecosystem players in India through **multiple gateways**.
- ONDC is a network that enables location-aware, local digital commerce stores across industries to be discovered and engaged by any network-enabled applications. It is **neither a super aggregator app nor a hosting platform**. All existing digital commerce apps and platforms can voluntarily choose to adopt and be a part of the ONDC network. In addition, the responsibility for onboarding of sellers and buyers and the management of the end-to-end order lifecycle will also continue to reside with the network-enabled applications.



- ONDC will **enable large-scale democratisation of digital commerce** in India by **providing a level playing field for large and small digital commerce apps and platforms** through the opportunity to be ONDC enabled and make buyers/sellers registered with them **visible and discoverable**.

3. BHARAT BILLPAY PAYMENT SYSTEM

- Bharat BillPay was **conceptualised by the RBI.**
- **One-stop ecosystem for payment of all bills** like electricity, telecom, DTH, gas, water bills, etc. and other repetitive payments like insurance premium, mutual funds, school fees, institution fees, credit cards.
- **Transaction can be initiated through multiple payment channels** like Internet, Mobile-Banking, Mobile Wallets, Kiosk, ATM, Bank and Business Correspondents
- **The NPCI has been authorized by the Reserve Bank of India (RBI) as the Bharat Bill Payment Central Unit (BBPCU)**. It is responsible for setting standards, rules, and procedures for all participants. The BBPCU also undertakes clearing and settlement activities related to transactions routed through BBPS.
- The BBPCU will be the nodal agency for providing a framework for the redressal of consumer disputes and also provide guaranteed settlement of all transactions routed through NBBL and **will ensure all transactions have BBPS reference number from the payment initiation stage.**
- **Bharat Bill Payment System (BBPS) is now integrated with UPI** to facilitate fetch & payment for transactions. Registered under UPI Autopay mandates. In line with this integration, UPI Autopay has been introduced as a separate payment mode in the BBPS.
- All participating COUs and BOUs shall be integrated to the centralised system and enable the customers and billers to raise and resolve disputes in accordance with the dispute resolution framework of NBBL.
- NBBL shall put in place a dispute resolution framework for centralised end-to-end complaint management in compliance with RBI's guidelines.
- **Bharat Bill Payment Operating Units (BBPOUs):** Banks (All Scheduled Commercial Banks including RRBs / Urban Cooperative Banks / State Cooperative Banks / District Central Cooperative Banks), non-bank Payment Aggregators and other existing entities authorized as BBPOUs can participate in BBPS as Operating Units. Banks and non-bank PAs, intending to operate as BBPOUs, will not require a separate authorization.
- **Bharat Bill Pay Central Unit (BBPCU):** NBBL as the BBPCU, provides a platform connecting customers and billers, through COUs and BOUs, respectively. NBBL also undertakes clearing and settlement activities for transactions routed through the BBPCU.

- **Bharat Bill Pay Central Unit (BBPCU):** BBPCU is the entity which operates BBPS; sets operational, technical, and business standards, and also undertakes clearing and settlement functions. NPCI Bharat BillPay Ltd. (NBBL) is the authorised BBPCU.

4. CABINET APPROVES ₹1500 CRORE UPI INCENTIVE SCHEME

Union Cabinet has approved the 'Incentive Scheme for promotion of low-value BHIM-UPI transactions Person to Merchant' (payments of less than ₹2,000) for FY25 with an outlay of ₹1500 crore.

KEY HIGHLIGHTS OF THE UPI INCENTIVE SCHEME

- **Incentive Structure**:
  - Banks will get a 0.15% incentive on UPI transactions of less than ₹2,000.
  - 80% of the admitted claim amount will be paid to banks without any restriction every quarter.
  - The remaining 20% will depend on achieving certain performance metrics:
    - Technical decline rate should be below 0.75%.
    - System uptime should be more than 99.5%.
- **Target Group**: specifically aimed at small traders, who can accept UPI payments at no additional charge. UPI transactions under the scheme remain free of cost for merchants.



Category	Small Merchant	Large Merchant
Up to Rs. 2k	Zero MDR / Incentive (@0.15%)	Zero MDR / No Incentive
Over Rs. 2k	Zero MDR / No Incentive	Zero MDR / No Incentive

BENEFITS OF THE SCHEME

- Common citizens: seamless payment facilities with no additional charges.
- Enable small merchants to avail of UPI services at no additional cost.

Efficiency gain- 20% incentive is contingent upon banks maintaining high system uptime and low technical decline. This will ensure round-the-clock availability of payment services.

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4 CHAPTER FISCAL POLICY

1. CAPITAL GAINS TAX

The Government in the Budget of FY25 has announced an increase in capital gains tax for both short-term and long-term transactions.

WHAT ARE CAPITAL ASSETS?

- Land, building, house property, vehicles, patents, trademarks, leasehold rights, machinery, and jewellery are a few examples of capital assets.
- The **following do not come under the category of 'capital asset'**:
  - Agricultural land in rural India
  - Deposit certificates issued under the Gold Monetisation Scheme 2015 and Gold Monetisation Scheme 2019, notified by the Central Government.

WHAT IS CAPITAL GAINS TAX IN INDIA?

- Any profit or gain that arises from the sale of a 'capital asset' is known as 'income from capital gains'. Such capital gains are taxable in the year in which the transfer of the capital asset takes place. This is called capital gains tax.
- There are **two types** of Capital Gains: **short-term capital gains (STCG)** and **long-term capital gains (LTCG)**.

CHANGES MADE IN THE BUDGET FY25

- **Holding Periods**: Assets will be classified into long-term and short-term based on two holding periods: 12 months for listed securities and 24 months for other assets.
- **Short-Term Capital Gains (STCG)**: The tax on STCG for listed equity shares, equity-oriented funds, and business trusts has increased from 15% to 20%.
- **Long-Term Capital Gains (LTCG)**: The tax on LTCG for other financial and non-financial assets is reduced from 20% to 12.5%. However, the indexation benefit for long-term assets has been eliminated.
- **Exemption Limit**: The exemption limit for LTCG on certain asset classes has increased from ₹1 lakh to ₹1.25 lakh per year

PURPOSE OF INDEXATION

- **Real Gains Taxation**: Indexation ensures taxpayers are taxed on real gains, adjusting for inflation rather than nominal gains at current prices.
- **Example**: If an individual buys a house for ₹10 lakh in 2001 and sells it for ₹75 lakh in 2021, the apparent gain of ₹65 lakh needs adjustment for inflation.
- **Inflation Adjustment**: The Cost Inflation Index (CII) measures inflation's impact on property gains, allowing only the difference between the selling price and the inflation-adjusted purchase price to be taxed..

Implications of Removal of Indexation Benefit

- **Higher long-term capital gains (LTCG) tax liability** for properties sold.
- **Impact on popularity of investment instruments** like real-estate investment (REITs), infrastructure funds and bonds.
- Sale of properties at circle rates (minimum price at which a real estate is to be sold) as undervaluing the real estate helps furbish lower capital gains, thus, lesser taxation. However, this **may promote increased black money transactions in the sector.**

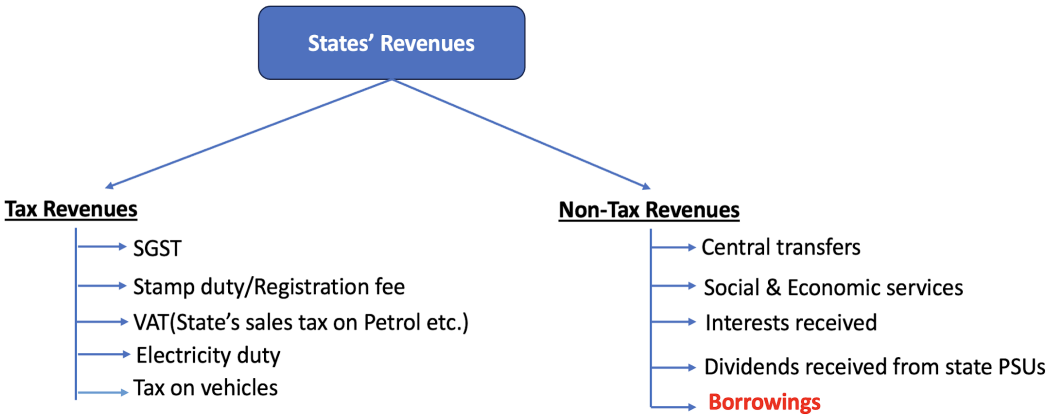
2. FISCAL POSITION OF THE STATE GOVERNMENTS

*Recently, the RBI has released a report on "**State Finances — A Study of Budgets of 2024-25."** The report emphasises the need for **sustained fiscal prudence** to states while prioritising growth-enhancing capital spending.*

OBSERVATIONS BY RBI

Positive Trends:

- **Rising Capital Expenditure**: Capital expenditure increased from 2.4% of GDP (2021-22) to **2.8%** (2023-24) and budgeted at **3.1% of GDP** in 2024-25. This reflects improvement in the quality of expenditure.
- **Deficit Management:** State governments have contained their **gross fiscal deficit** (GFD) within 3% of GDP (gross domestic product) and **Revenue deficit** at 0.2% of GDP during 2022-23 and 2023-24.
- **Declining Debt levels:** States' **total outstanding liabilities** have declined from 31.% of GDP (March 2021) to **28.5%** at March 2024.
- **Policy Reforms:** State-specific fiscal **responsibility legislations** (FRLs), along with tax and expenditure reforms have strengthened states' finances over the past two decades.

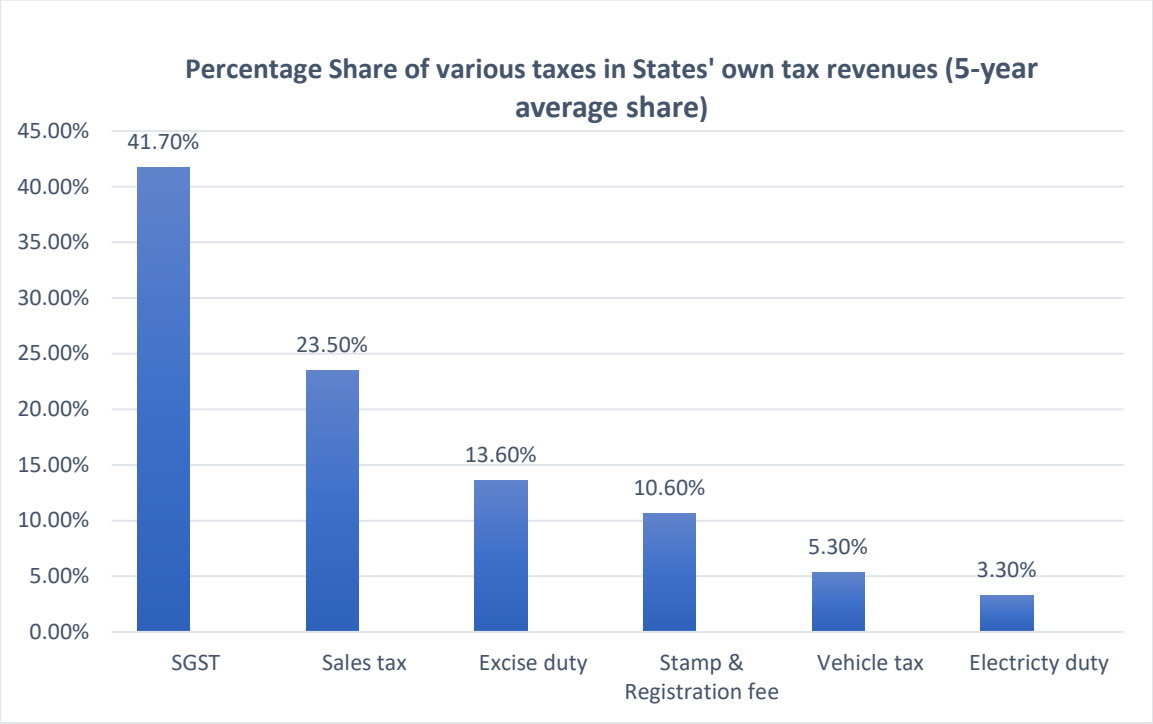


Concerns:

- **Rise in Subsidies burden**: There is a sharp rise in expenditure on subsidies, driven by:
  - farm loan waivers
  - free/subsidised services (like electricity to agriculture and households, transport, gas cylinder)
  - cash transfers to farmers, youth and women.
- **Too many Central government schemes** reduce flexibility of State government spending and dilute the spirit of cooperative fiscal federalism.
- **Persistent high level of subnational debt** calls for a credible roadmap for debt consolidation. Though the states' total outstanding liabilities have declined to 28.5% (March 2024), but they remain:
  - above the pre-pandemic level (**25.3%** at end-March 2019).
  - above the 20% ceiling by Fiscal Responsibility and Budget Management (FRBM) Act, 2017.

IMPORTANT TRENDS

- **Trends in Tax Revenues:**
  - For 2023-24, States have recorded a sharp rise in revenue receipts over 2022-23 (PA).
  - SGST contributes highest to States' own tax revenue collection.



Source: RBI report on States' Finances (2023)

- **Trends in Non-tax revenues:**
  - ***Transfers from central government:*** Transfers of resources from the Centre to States in India takes place through three primary channels:
    - Tax devolution recommended by the finance commission (Under article 270).
    - Grants recommended by finance commission under article 275 *(E.g., Post devolution revenue deficit grants).*
    - Grants recommended outside finance commission recommendations under Article 282 *(E.g., support for centrally sponsored schemes).*

    Tax devolution comprises the largest share of central transfers to states. However,

    The actual tax devolution to States from the Centre hovered in the range of 3-4% of GDP during the period of 14th and 15th finance commission. This is primarily due to increase in share of cesses and surcharges and shrinking of the divisible pool.
  - ***Revenues from Socio-Economic services:*** Another important source of non-tax revenues to states is user charges on economic/social services provided by the government such as irrigation, electricity, health, education, forestry and wildlife. Revenue from economic services provided by the states comprises 60% of their own non-tax revenues.
- **Composition of borrowings:** States finance their fiscal deficit through borrowing primarily from three sources:
  - Market (G-secs)
  - Borrowings from NSSF (Special Securities issued to NSSF)
  - Loans from centre

  States' dependence on market borrowings has increased significantly following the recommendation of the 14th Finance Commission to exclude States from the National Small Savings Fund (NSSF) financing facility. During 2023-24, States have budgeted to finance 76% of gross fiscal deficit through net market borrowing.

Table II.9: Composition of Outstanding Liabilities of State Governments and UTs
(As at end-March)

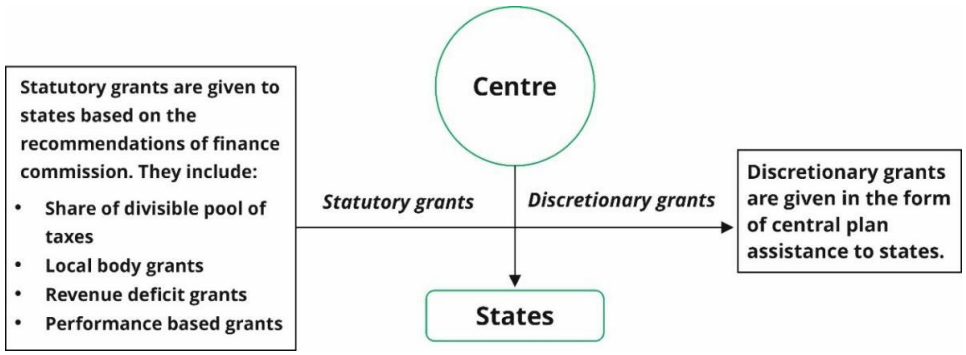
(Per cent)

Item	2018	2019	2020	2021	2022	2023 RE	2024 BE
1	2	3	4	5	6	7	8
Total Liabilities (1 to 4)	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**
1. Internal Debt	72.7	72.2	73.5	74.0	73.0	73.4	74.5
of which:							
(i) Market Loans	51.4	53.5	57.2	60.5	61.6	63.7	66.0
(ii) Special Securities Issued to NSSF	11.1	9.2	7.7	6.1	5.1	4.2	3.4
(iii) Loans from Banks and Financial Institutions	4.9	4.8	4.8	4.2	3.8	3.8	3.9
2. Loans and Advances from the Centre	3.8	3.6	3.0	5.1	7.2	7.9	8.6
3. Public Account (i to iii)	23.5	24.1	23.4	20.8	19.7	18.5	16.8
(i) State PF, etc.	10.3	10.2	9.8	8.8	8.4	8.2	7.8
(ii) Reserve Funds	4.1	4.2	3.8	3.4	3.4	3.1	2.8
(iii) Deposits & Advances	9.1	9.7	9.7	8.6	7.9	7.3	6.2
4. Contingency Fund	0.1	0.1	0.1	0.1	0.1	0.1	0.1

RE: Revised Estimate. BE: Budget Estimate.
Source: Same as that for Table II.8.

3. FISCAL FEDERAL ISSUES

Recently Kerala has filed a suit in the Supreme Court accusing the Centre of violating the federal structure of governance and causing "severe damage to the economy of a small State with meagre resources" by interfering with its finances.



The share of states in the central taxes for the 2021-26 period is recommended to be 41%. **The criteria for horizontal devolution is:**

Criteria	Weightage
Income Distance	45%
Area	15%
Population (2011)	15%
Demographic Performance	12.5%
Forest and Ecology	10%
Tax and fiscal efforts	2.5%

FISCAL FEDERAL ISSUES

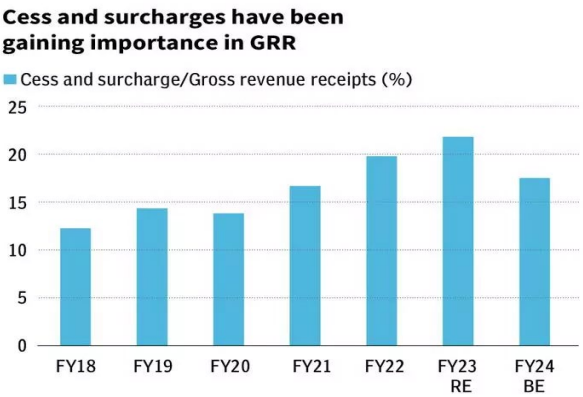
- **Shrinking devolution:** Though the Finance Commission enhanced states' share in the divisible pool of taxes, it did not result in concomitant increase in the actual devolution. This is because, over the last few years, the central government has reduced the tax rates and increased the cess and surcharges which are not mandated to be shared with the states. Cess and surcharges are part of central taxes but not part of the divisible tax pool and do not have to be shared with States.

In fact, cess and surcharge has grown at a faster pace than gross tax revenues.

- **Ceiling on the states' borrowing:** The Union Budget has kept 3.5% of GSDP as their borrowing limit for FY24 and it restricted borrowing power of the states.

(As per article 293, states cannot raise loans without the consent of the union if there is any outstanding loan made by the state government with a guarantee given by the centre.)

- **Loss of taxation rights under GST mechanism:** with the advent of GST, the states lost their rights to increase tax revenues by changing the tax rates on sale of many goods and services. (GST rates and slabs are decided by the GST council with 3/4th majority vote).
- **Restrictions on off-budget borrowings:** The Centra had noticed in FY22 that such off-budget borrowings would be considered as borrowings made by the state. This reduced the capacity of states to increase their borrowings without violating fiscal deficit targets.



However, the Union budget 2023-24 has proposed to continue with the 50-year interest-free loan to state governments that aid infrastructure investment.

4. QUALITY OF GOVERNMENT EXPENDITURE INDEX: RBI

Context: Recently, the **Reserve Bank of India (RBI)** has released the '**Quality of Public Expenditure' Index** to assess how well the **government** is **spending public money**. The latest report makes for a positive picture.

QUALITY OF PUBLIC EXPENDITURE (QPE) INDEX

- Developed by the RBI to assess how well the government is spending public money.
- The Index uses five **variables** to assess quality of spending:

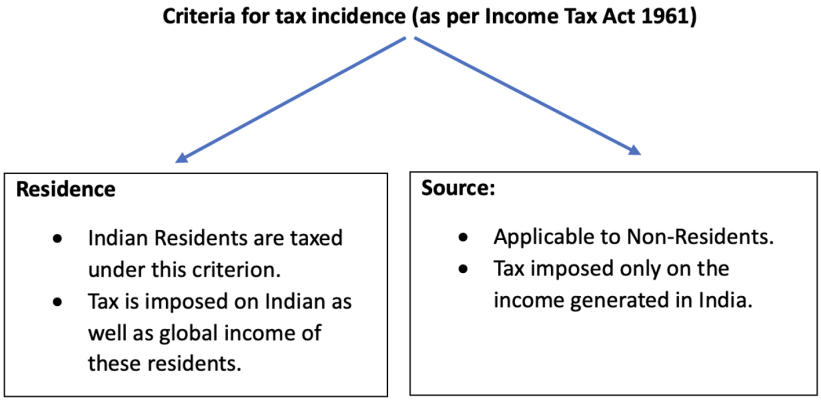
S. NO.	VARIABLES	DEFINITION
1.	Capital Outlay to GDP ratio	• Money set aside by the government towards building physical infrastructure expressed as a percentage of Gross Domestic Product (GDP). • The **higher** the ratio, **the better** is the quality of public expenditure.
2.	Revenue Expenditure to Capital Outlay ratio	• Compares operational expenses of the government (like salaries, subsidies, pensions) to the long-term capital investment. • The lower the value of this ratio, **the better** is the quality of public expenditure.
3.	Development expenditure to GDP ratio	• Refers to **all public expenditure** to **enhance production factors** (labour and capital) to stimulate economic growth. • Higher share indicates better resource allocation
4.	Development expenditure as a percentage of a government's total expenditure	The **higher** the value of this ratio, the **better** is the quality of public expenditure.
5.	Interest payments to total government expenditure ratio	Proportion of government spending on servicing debt. A **lower** value of this ratio shows **better** quality of public spending.

Quality of India's Public Expenditure: Analysis by RBI:

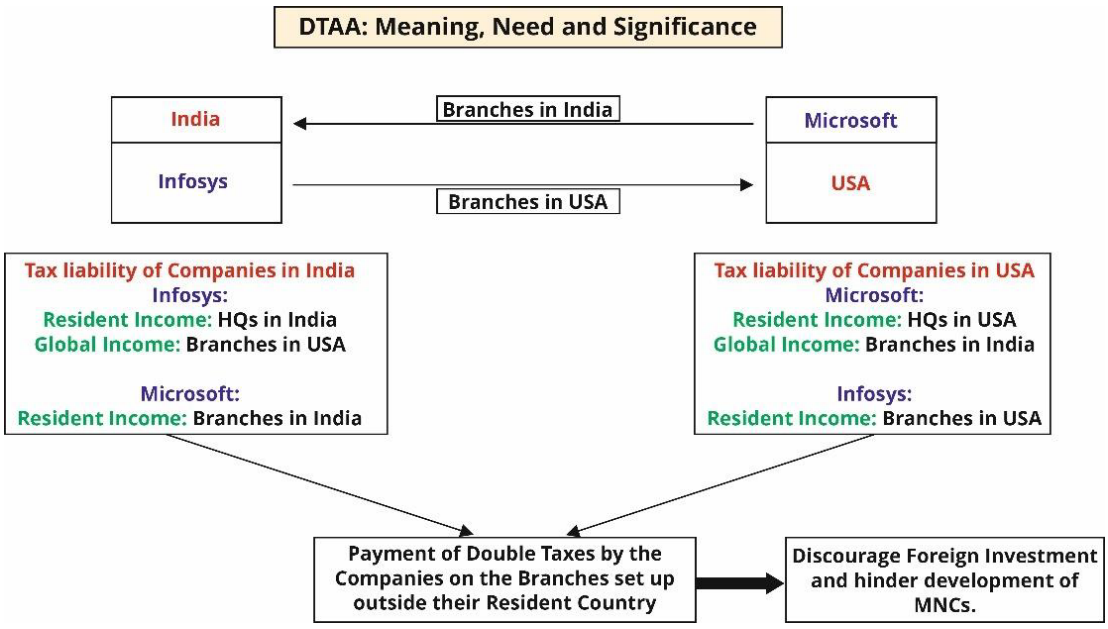
- According to the RBI's index, the **quality of public expenditure** in India (both at Centre and state levels) is close to the highest point (in FY 2024-25) it has ever been since the start of economic liberalisation in 1991.
- This has been possible due to the following measures:
  - To limit the tendency in government to overspend, India instituted the **Fiscal Responsibility and Budget Management (FRBM) Act, 2003.**
  - **FRBM limit on Fiscal & Revenue Deficit:**
    - As per FRBM Act, the **fiscal deficit** should ideally not exceed **3% of GDP.**
    - The **revenue deficit** should be **zero**.
    - **Purpose:** Government should **only borrow for capital expenditure** (and not for paying higher salaries and other similar everyday spending).
  - **Targeting overall debt:** India has now shifted to targeting overall debt as a percentage of GDP, instead of an individual year's fiscal deficit, as a way to maintain fiscal discipline.
- **Push for** higher **capital expenditure by the government:** Capex boosted the productive capacity of the economy.

5. DOUBLE TAXATION AVOIDANCE AGREEMENT

The Supreme Court, in a case, held that a Double Taxation Avoidance Agreement (DTAA) cannot be given effect unless notified under the Income Tax Act.

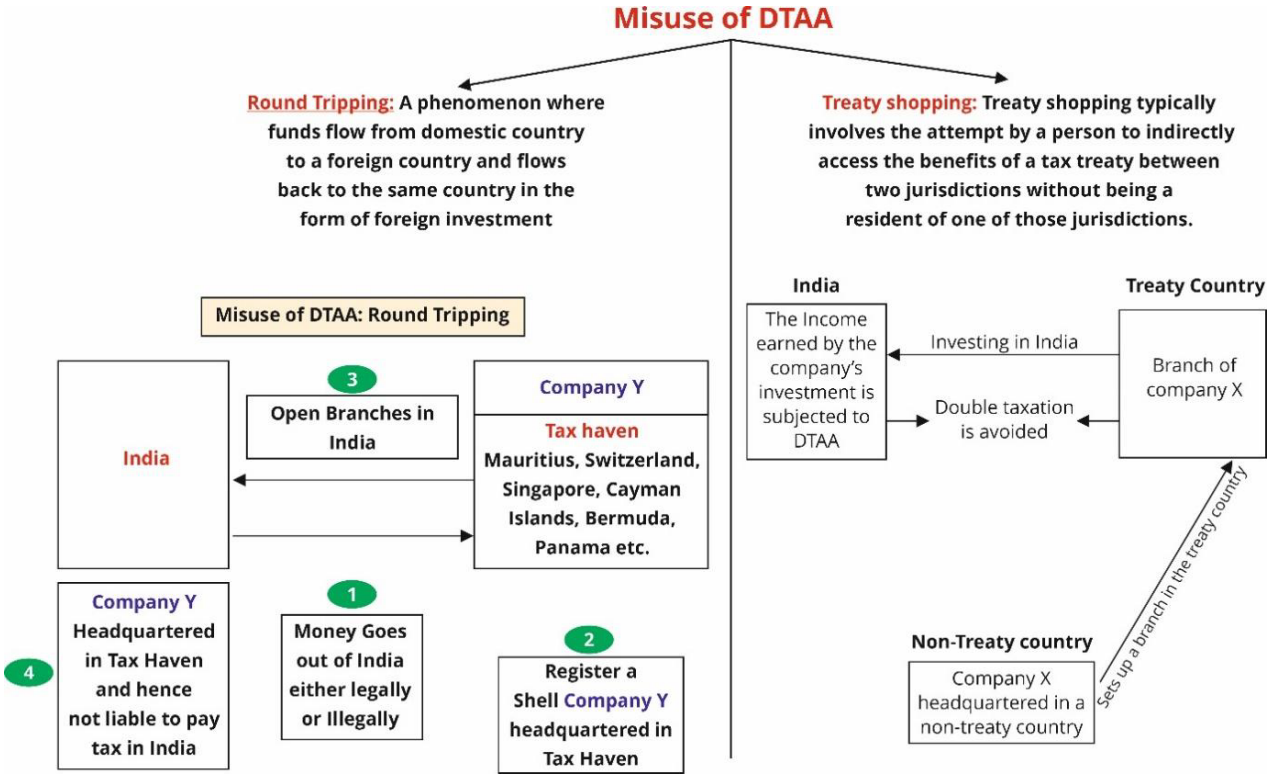


As a result of this, the same income is often taxed twice in two different jurisdictions.



DTAA

Double Tax Avoidance Agreement (DTAA) is an agreement that is signed between two countries to avoid double taxation on individuals/companies for the same income earned in one country while being a resident of another country. India has signed DTAA with more than 80 countries.



6. WINDFALL TAX

- Windfall tax is a higher tax levied by the government on specific industries when they experience unexpected and above-average profits.
- The Government imposes this tax when they notice a sudden rise in an industry's revenue due to external incidents that they are not responsible for.
  - ***E.g.,*** *Windfall tax imposed on upstream oil companies — ONGC, Oil India and GAIL- when they declared all-time high net profit in the fiscal year 2022 due to skyrocketing of oil prices following the Russia-Ukraine war.*
- It is usually a one-time tax imposed retrospectively, over and above the normal tax rate.

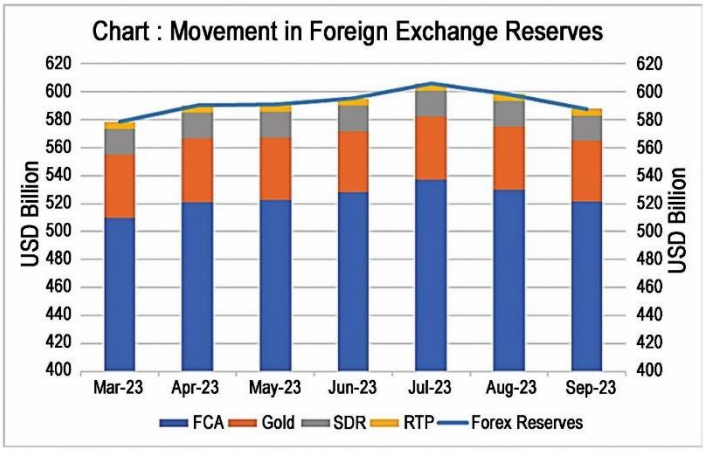
Some individual taxes—such as inheritance tax or taxes on lottery or game-show winnings—can also be construed as a windfall tax.

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5 CHAPTER EXTERNAL SECTOR

1. FOREX RESERVES

*Foreign exchange reserves refer to the reserves of the RBI kept in the form **foreign currency assets**, **gold**, **SDR** and **reserve tranche position** with the IMF. The forex reserve is kept as a cushion against any potential balance of payment related crisis. In India, the **Reserve Bank of India Act 1934** enabled the RBI to act as the custodian of foreign reserves.*



Foreign currency Assets > Gold > SDR >RTP

Composition of Forex reserves of India (Source: RBI)

HOW MUCH FOREX RESERVES ARE SUFFICIENT?

Though there is no objective formula/criterion to arrive at a specific amount, there are few factors that are considered to determine the adequacy of foreign exchange reserves of an economy, which include:

- **Import coverage:** One common rule of thumb is that reserves that can cover three months' worth of imports are adequate.
- **Level of short-term debt:** IMF suggests that a country's reserves should equal short-term external debt (one-year or less maturity), suggesting a ratio of reserves-to-short term debt of one.
- **Source of accretion of reserves:** Whether the forex reserves are made up of export or foreign investments (FDI&FPI) or external borrowings.
- **Levels of Current account deficit:** To what extent the CAD can be financed by the existing fore reserves is also an important factor to consider.

Thus, though the forex reserves of India declined significantly in the last one year, they are more than adequate to fulfil the above factors and deal with any short-term contingency.

2. INTERNATIONAL TRADE IN INDIAN RUPEE

NEED FOR TRADING IN LOCAL CURRENCIES

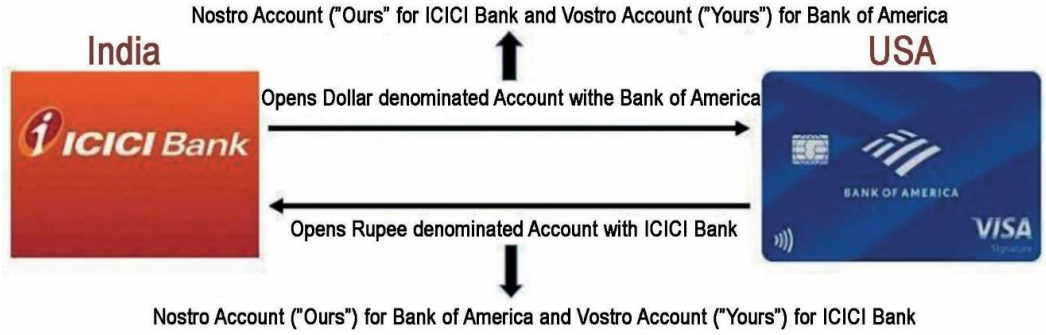
- **Reduce transaction costs:** When countries import and export goods and services, they have to make payments in a foreign currency. Since the US dollar is the world's reserve currency, most of these transactions are settled in dollars.
- **Geo-political shocks:** Geo-political tensions often create challenges in seamless trade between the countries. **E.g.,** The recent Russia-Ukraine war resulted in western sanctions on Russia which created challenges for India to trade with Russia in dollars.

- **Reduce dependency over foreign currency:** Increasing use of Indian rupee for cross-border transactions will not only reduce our dependency over foreign currency but also increases the credibility of rupee in the global market adding weight to the Indian economy.
- **Insulate from external shocks:** Reducing dependence on foreign currency makes India less vulnerable to external shocks like mitigating the pain of reversal of capital flows.

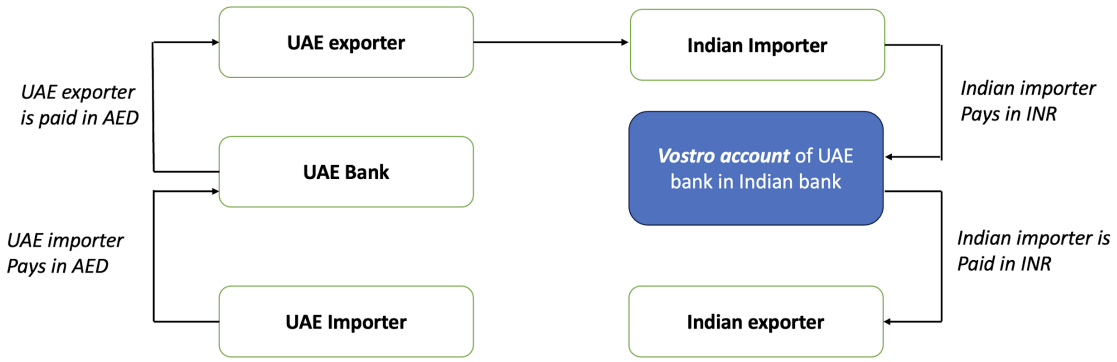
MECHANISM OF RUPEE TRADE SETTLEMENT

What are Vostro Accounts?

- Vostro accounts are accounts that a bank holds on behalf of another foreign bank.
- A Rupee Vostro account is used to facilitate international trade transactions in Indian rupee. Rupee Vostro accounts keep a foreign entity's holdings in the Indian bank, in Indian rupees.



	LOCATION OF A/C	WHO WILL OPEN	CURRENCY
NOSTRO A/C	FOREIGN BANK	DOMESTIC BANK	FOREIGN
VOSTRO A/C	DOMESTIC BANK	FOREIGN BANK	DOMESTIC



A Rupee Vostro account is used to facilitate international trade transactions in Indian rupee. When an Indian importer wants to make a payment to a foreign trader in rupees, the amount will be credited to this Vostro account, and when an Indian exporter needs to be paid for supplying goods or services, this Vostro account will be deducted, and the amount will be credited to the exporter's account.

Even though rupee invoicing for international transactions was allowed earlier, countries with whom we run trade deficits were reluctant to use this rupee settlement because the vostro accounts are left with surplus amounts.

To overcome this, recently RBI released a notification allowing international trade settlement in India rupees. It allowed surplus rupee held in vostro accounts to invest in rupee assets like Government securities.

3. CAPITAL ACCOUNT LIBERALISATION

Gearing up to remain "future-ready for India's fast-growing economy", the Reserve Bank of India (RBI) has listed a series of aspirational goals, including capital account liberalisation. Capital account liberalisation is the process of removing impediments to inflows of capital, or allowing domestic investors to invest more freely in foreign assets.

RUPEE CONVERTIBILITY IN INDIA

- **Full Rupee Convertibility on Current Account:** Current Account under Balance of Payment (BoP) includes various transactions such as Imports, Exports, Remittances, Gifts, Donations. On these transactions, India has adopted full Rupee Convertibility in 1993.
- **Partial Rupee Convertibility on Capital Account:** Capital Account Convertibility (CAC) refers to the freedom to convert local financial assets into foreign financial assets and vice versa at market determined rates of exchange.
  - It is associated with changes of ownership in foreign/domestic financial assets.
  - So, it basically refers to **easing of restrictions on movement of capital** (such as FDI, FPI etc) from one country to another.
  - However, CAC is not just currency convertibility, but it also **involves freedom to invest in financial assets of other countries**.
- Full capital account convertibility is not practised anywhere in the world, but **many advanced countries aim for it.**

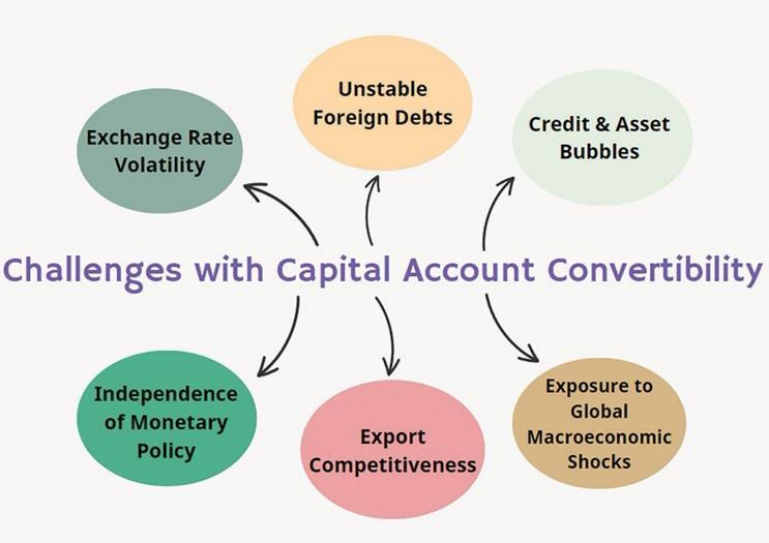
CAPITAL ACCOUNT LIBERALISATION IN INDIA

- India has **cautiously opened up its capital account since the early 1990s** and presently there exists a partial capital account convertibility in India.

ARGUMENTS IN FAVOUR OF CAPITAL ACCOUNT LIBERALISATION

- **Increased Foreign Investment:** Free capital movement attracts higher foreign investment, which can lead to economic growth and infrastructure development.
- **Enhanced Competitiveness:** Greater financial integration improves a country's access to international markets, enhancing its financial competitiveness and may reduce cost of capital. Additionally, it can also impose discipline on macroeconomic policies of the government.
- **Provides Opportunities for Diversification of Investments** by residents by enabling a better access to a global variety of goods and services. Additionally, it furthers the case for Internationalisation of Rupee as Indian rupee can easily be accepted in other countries.

ARGUMENTS AGAINST CAPITAL ACCOUNT LIBERALISATION



- **Exchange Rate Volatility:** A lack of suitable regulatory control and rates subject to open markets with a large number of global market participants can lead to sudden exit of capital causing volatility, devaluation, or inflation in foreign exchange.
- **Unsustainable Foreign Debts:** Accumulation of debt from external sources makes domestic businesses vulnerable to higher repayments risk in case of foreign debt if exchange rates become unfavourable.
- **Credit and Asset Bubbles:** Foreign investors may use equity markets in emerging countries to bet on currency appreciation and capital markets, thereby distorting asset values and adding to the risk of speculative bubbles.
- **Exposure to Global Macroeconomic Shocks:** Fuller CAC aggravates the risks associated with Global financial crises, especially for emerging economies like India. For example, the 1997 Asian financial crisis was exacerbated because the countries affected had full capital account convertibility and the financial crisis of 2008 led to huge foreign capital outflows from emerging countries.
- **Effects on Balance of Trade and Exports:** Substantial inflows could lead to an overvalued exchange rate which can **make Indian exports less competitive in the international markets**.
- **Ineffectiveness of Monetary Policy:** As speculative short-term movements in the interest rates can lead to other spiralling effects. **Triffin Dilemma** highlights accepted wisdom regarding this situation is that a **country cannot simultaneously enjoy a stable exchange rate, unrestricted capital mobility, and independent control over interest rates** or other instruments of monetary policy.

4. IMF LENDING FACILITIES

- The IMF provides concessional financial support to its low-income members through the Poverty Reduction and Growth Trust (PRGT), which has three lending facilities:
  - **Extended credit Facility (ECF):** Sustained medium- to long-term engagement in case of protracted balance of payments problems.
  - **Standby Credit Facility (SCF):** Financing for low-income countries with actual or potential short-term balance of payments and adjustment needs caused by domestic or external shocks, or policy slippages. It can also be used on a precautionary basis during times of increased risk and uncertainty.
  - **Rapid Credit Facility (RCF):** One-off disbursement for low-income countries facing urgent balance of payments needs.
- The three facilities have different maturities and grace periods and are currently interest free. The interest rate on RCF financing was set permanently at zero, while the IMF reviews interest rates for ECF and SCF facilities every two years. Currently the interest rate for these two facilities is kept at zero rate.
- Just like in other facilities, lending facilities to low-income countries under PRGT are attached with conditionalities like adopting policies that provide confidence that the member's balance of payments difficulties will be resolved within a reasonable period.

5. NEW FRAMEWORK FOR RECLASSIFICATION OF FPI TO FDI

Reserve Bank of India has directed foreign portfolio investors (FPIs) to obtain necessary approvals from the government and concurrence from the investee companies when their equity holdings go beyond the prescribed limits and they reclassify the holdings as foreign direct investment (FDI).

FOREIGN DIRECT INVESTMENT

- **Definition:** Investment through capital instruments by a person resident outside India
  a) In an unlisted Indian company; or
  b) In 10% or more of the post issue paid-up equity capital in a listed Company.
- **Nodal Department:** Dept. for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce & Industry makes policy pronouncements on FDI through Consolidated FDI policy circular/press notes, etc. which are notified by Dept. of Economic Affairs (DEA), Ministry of Finance.

- **Eligible Capital Instruments:**
  - Shares
  - Convertible Debentures
  - Global Depository Receipts/ American Depository Receipts
  - Foreign Currency Convertible Bonds (FCCBs)
- **Routes:**
  - Government Route: Application in Foreign Investment Facilitation Portal Concerned Administrative Ministry/Department. Proposals of more than 5000 crores to be approved by CCEA
  - Automatic Route: No Prior Approval of Government or RBI

FOREIGN PORTFOLIO INVESTMENT

- Equity investment not exceeding 10% of total paid-up capital of the company.
- **Categories of Investments:** Shares, Corporate Bonds, Debentures, Commercial Papers, Mutual Fund Units, Units issued by REIT and InVITs, Treasury Bills, Dated Securities, State Development Loans, Indian Depository Receipts.

DIFFERENCE BETWEEN FDI AND FPI

CRITERIA	FDI	FPI
Percentage of Ownership	10% or more	Less than 10%
What does it include?	Transfer of Capital + Technology + Management Skills	Only Transfer of Capital
What does it lead to?	Ownership + Management	Only Ownership
Where does it flow?	Physical Assets	Financial Assets
Which segment of Market Targeted?	Primary Market	Mainly Secondary Market. Can Participate even in Primary Market as well.
Nature of Investment	Stable + Long Term	Unstable + Short Term (Hot Money)
Flexibility	Less Flexible (Entry and Exit difficult)	More Flexible (Entry and Exit easier)
Role of Investors	Active	Passive

RBI'S NEW FRAMEWORK FOR RECLASSIFYING FPI TO FDI

In November, 2024, Reserve Bank of India introduced an operational framework for reclassification of FPI as FDI, where FPI investment crosses the prescribed 10% Limit.

- As per the norms, FPI should be less than 10 per cent of the total paid-up equity capital on a fully diluted basis. Any FPI investing in breach of the prescribed limit should reclassify such holdings as FDI within five trading days.
- The facility of reclassification shall not be permitted in sectors prohibited for FDI. E.g., Chit funds, gambling, etc.
- Reclassification should be in adherence to entry route, sectoral caps, investment limits, pricing guidelines, and other conditions for FDI under the rules.

6. REMISSION OF DUTIES AND TAXES ON EXPORTED PRODUCTS SCHEME

The **Remission of Duties and Taxes on Exported Products (RoDTEP)** scheme, which provided crucial support to exporters operating under advance authorisation, export-oriented units and special economic zones schemes,

expired on December 31, 2024. With the expiry of the scheme and no indications of its extension, exporters now face heightened uncertainty.

KEY FEATURES OF RODTEP SCHEME

- The scheme provides refund of duties and taxes which are levied at central, state and local level and are not refunded under any other mechanism. They include:
  - Central and State Excise Duty on fuel for transportation of export goods (petrol, diesel, CNG, PNG, etc.)
  - Coal cess or duty levied by States on electricity consumed for manufacturing of export goods
  - Mandi tax levied by APMCs
  - Toll tax and stamp duties on import-export documentation
  - Value added tax (VAT) wherever applicable
- Refunds under the scheme would be issued in the form of transferrable e-scrips which could be used for paying Basic Customs Duty on import of goods or may be transferred electronically to another party. The benefit will not be in the form of direct credit to the bank account.

When the RoDTEP scheme was introduced, sectors like pharmaceuticals, chemicals and iron & steel were excluded from the scheme due to fiscal constraints as well as on the grounds that their exports were doing well even without such benefits. However, with India's exports momentum hit by waning global demand, the government decided to extend the scheme to these sectors as well.

Countervailing Duty (CVD): Countervailing duties or CVDs are tariffs on imported goods that are imposed to offset subsidies given by the exporting country's government. WTO's agreement on subsidies and countervailing measures (SCM) allows the importing countries to impose CVD against such subsidies which injures the domestic industry of the importing country.

7. SWITZERLAND REVOKES INDIA'S MFN STATUS

*Switzerland has withdrawn the **Most Favoured Nation (MFN**) status of India accorded to India under the **Double Taxation Avoidance Agreement** or DTAA treaty.*

MAJOR HIGHLIGHTS

- This decision comes after an adverse ruling from the **Indian Supreme Court** (2023) regarding a tax dispute involving Nestlé (the Swiss food giant).
- In reciprocation to the decision, Switzerland invoked '**Principle of Reciprocity'** and **unilaterally** withdrew MFN status of India.
- From January 1, 2025, Switzerland started levying a 10% tax (instead of the earlier 5%) on dividends payable to Indian tax residents and entities who claim refunds for Swiss withholding tax.

WHAT IS MFN AND THE PRINCIPLE OF RECIPROCITY?

- Most Favoured Nation (MFN) status if given to a nation allows concessions in tax rates and tariffs. MFN works on the **principle of reciprocity** i.e., quid pro quo principle where both nations enjoy MFN status of each other.
  - MFN status is one of the cornerstones of the **World Trade Organisation (WTO) trade law.**
  - Each member of WTO **treats all the other members equally** as "most-favoured" trading partners.

IMPACTS OF MFN WITHDRAWAL

- **Tax burden on Indian Firms:** As a result of MFN withdrawal, Switzerland will impose a **10% withholding** tax on Indian entities. Higher tax liabilities would reduce profit margins.
- **Reduced investor Confidence:** Discourage Swiss business and investors from engaging with Indian entities due to increased tax liabilities.
- **Negatively Impact global position:** Potentially affect ongoing Free Trade Agreement negotiations with the European Union.

- **Increased regulatory barriers:** Spill over effect into other trade dynamics leading to sanitary and phytosanitary compliance burden in sectors like pharmaceuticals.
- **Loss of competitive edge** to other competitive nations like China which can fill the vacuum of Swiss trade and investment.

8. US EXITS FROM GLOBAL CORPORATE MINIMUM TAX DEAL

The US President Donald Trump signed an executive order to withdraw from the landmark **2021 Global Corporate Minimum Tax deal,** citing that it has no force or effect in the U.S.. The global agreement was negotiated by the Biden administration with nearly 140 countries, under the aegis of **OECD.**

WHAT IS GLOBAL CORPORATE MINIMUM TAX?

- A **global corporate minimum tax** is a framework to impose a **minimum rate of taxation** on corporate income in most countries of the world.
- **The 2021 Agreement:**
  - In October 2021, 136 countries agreed to a proposal from the Organisation **for Economic Co-operation and Development (OECD).**
  - **OECD's Proposal:** Corporate **minimum tax of 15%** on **foreign profits** of large multinationals. Expected to generate additional tax revenues of $150 billion, globally.
- **Objective:** To discourage tax-motivated **profit shifting and tax base erosion by multinational corporations (MNCs).**

9. RUSSIA'S ALTERNATIVE TO SWIFT

Russia has proposed using its own financial messaging system, an alternative to SWIFT, to facilitate rupee-rouble trade settlements with India. The Reserve Bank of India (RBI) has found the proposal "doable" but ongoing discussions are still in progress.

WHAT IS SWIFT?

- Society for Worldwide Interbank Financial Telecommunication (SWIFT) is a secure financial message carrier that transports messages from one bank to its intended bank recipient to facilitate cross-border payments.
- It does not facilitate funds transfer: rather, it sends only payment orders.
- It is a global member-owned cooperative headquartered in Brussels.

HOW DOES THE SWIFT WORK?

- Every Bank has a SWIFT Code consisting of 8 or 11 characters.
- It is like the IFSC code used for domestic interbank transfers, with Swift being used for international transfers.

ALTERNATIVES TO SWIFT

- Russia developed its own alternative to SWIFT called the System for Transfer of Financial Messages (SPFS). But this system has struggled to establish itself in international transactions.
- Similarly, China has launched the Cross-Border Interbank Payment System in 2015 to internationalise the use of the yuan. It allows global banks to clear cross-border yuan transactions directly onshore.

10. ABOLITION OF EQUALISATION LEVY

*The Central Government has proposed to **abolish the 6% equalisation levy (EL)** on online advertisements from April 1, 2025. This move is expected to benefit major US technology firms and ease trade tensions between India and the United States.*

WHAT IS THE EQUALISATION LEVY?

- Equalisation levy of **6%** is applicable to the income accruing to a foreign E-commerce company which is not a resident of India.
- Any person or entity in India, which makes a payment **exceeding Rs 1 lakh in a financial year** to a non-resident technology company (such as Google) for some B2B (Business to Business) transactions, needs to withhold 6% of the gross amount to be paid as equalisation levy.
- Also known as the "Google Tax", it affected offshore digital giants like Google, Meta, and Amazon.

RATIONALE BEHIND EQUALISATION LEVY

- **Equalisation Levy** (digital tax) was introduced in the Union Budget 2016 with the intention of taxing the digital transactions.
- Digital platforms earn huge **revenues** through digital advertisements. These companies earn revenue by harnessing the data generated in a particular country, but are not obliged to pay adequate taxes in the source country.
- Thus, Equalisation Levy was introduced to bring such Internet-based companies within the ambit of tax. It aimed to **create a level-playing field** between resident and non-resident e-commerce companies.

REASONS FOR ABOLISHING EQUALISATION LEVY

- **Trade Tensions with US:** The US criticised the levy as "discriminatory and unreasonable", arguing that it unfairly targeted American tech companies. A year-long investigation by the US deemed digital service taxes in multiple countries (including India) inconsistent with international taxation principles.
- **Alignment with Global Tax Reforms:** India, the US, and other OECD/G20 members agreed in October 2021 on a two-pillar framework to reform digital economy taxation. India had already removed the 2% EL on e-commerce platforms in 2024, and the latest move aligns with ongoing global consensus efforts.
- **Encouraging Foreign Investment:** By removing the EL, India signals a more accommodative stance to foreign businesses, possibly attracting greater tech sector investments. Experts believe this could prevent potential US tariff retaliation against Indian exports.
- The abolition of the equalisation levy is a significant policy shift that aims to harmonise India's digital taxation with global frameworks and boost foreign investment in the growing digital economy.

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6 CHAPTER INFRASTRUCTURE

1. COMMITTEE TO DEFINE INFRASTRUCTURE

The finance ministry has tasked a high-level committee under Bibek Debroy, chairman of the Economic Advisory Council to PM, to undertake a comprehensive assessment of the characteristics or parameters defining infrastructure and its financing framework.

Infrastructure refers to basic physical and structural facilities, which are essential for an economy to function. There is no universally accepted definition of infrastructure. The National Statistical Commission headed by C. Rangarajan identified six characteristics of the infrastructure sector.

CHARACTERISTICS OF INFRASTRUCTURE

- ***Natural Monopoly:*** A natural monopoly typically has high fixed costs meaning that it is impractical to have more than one firm competing to provide the same goods or services. ***E.g.,*** Electricity transmission lines, Gas pipelines.
- ***High Sunk Costs:*** Sunk cost refers to the money that has already been spent and cannot be recovered even when the firm goes out of business. Typically, infrastructure projects incur high sunk costs.
- ***Non-tradability of output:*** Non-tradable outputs are those which are produced and sold at the same location and cannot be transported to other locations. Generally, the infrastructure outputs are consumed at the place they are produced and are non-tradeable. ***E.g.,*** Fly over.

  To give an example: should there be insufficient demand for electricity in place A, its supply may be diverted to place B; however, one will not be able to do that for the transmission system that brings electricity to place A. Hence the transmission system is non-tradable even though electric power itself may be tradable.
- ***Non-rivalness in consumption*:** non-rivalness implies that the cost of providing a good or service to an additional individual is zero. That means consumption of an individual does not affect the consumption of others.
- ***Price exclusion:*** Price exclusion means that the enjoyment of benefits is contingent on payment of user charges.
- ***Externalities:*** The benefits of Infrastructure projects go beyond the immediate provision of services for which they are built, which are not directly measured. ***E.g.,*** A gas pipeline not only provides access to energy but also results in environmental and social benefits.

Based on the above features, the Harmonised Master List of Infrastructure sub-sectors is updated from time to time. The latest updated list is as follows.

HARMONISED MASTER LIST OF INFRASTRUCTURE SUB-SECTORS

CATEGORY	INFRASTRUCTURE SUB-SECTORS
Transport and Logistics	• Roads and bridges • Ports • Shipyards • Inland Waterways • Airport • Railway track including electrical & signaling system, tunnels, viaducts, bridges • Railway rolling stock along with workshop and associated maintenance facilities • Railway terminal infrastructure including stations and adjoining commercial infrastructure • Urban Public Transport (except rolling stock in case of urban road transport)

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	• Logistics Infrastructure • Bulk Material Transportation Pipelines
Energy	• Electricity Generation • Electricity Transmission • Electricity Distribution • Oil/Gas/Liquefied Natural Gas (LNG) storage facility • Energy storage systems including dense charging infrastructure and grid-scale battery systems
Water & Sanitation	• Solid Waste Management • Water treatment plants • Sewage collection, treatment and disposal system • Irrigation (dams, channels, embankments, etc.) • Storm Water Drainage System
Communication	• Telecommunication (fixed network) • Telecommunication towers • Telecommunication & Telecom Services • Data centers
Social and commercial infrastructure	• Education Institutions (capital stock) • Sports Infrastructure • Hospitals (capital stock) • Tourism infrastructure • Common infrastructure for Industrial Parks • Post-harvest storage infrastructure • Terminal markets • Soil-testing laboratories • Cold Chain • Affordable Housing • Affordable Rental Housing Complex • Exhibition-cum-Convention Centre

2. PM e-BUS SEWA SCHEME

The Cabinet approved a bus scheme called "PM-e-Bus-Sewa" under which 10,000 e-buses will be rolled out on a public-private partnership model. The government will pay the bus operator a fixed sum per km of operation. The scheme would have an estimated cost of ₹57,613 crore. While the Union government will provide only Rs 20,000 crore, the remaining fund will come from state governments. In this 10-year duration scheme, electric buses will get priority across the selected cities.

The scheme entails two components:

Augmenting the city bus services (169 cities)	Green Urban Mobility Initiatives (181 cities)
• Augment city bus operations with 10,000 e-bus on PPP model. • Development of associated infrastructure like depot infrastructure, substations etc. for e-buses.	• Green initiatives like bus priority, infrastructure, multimodal interchange facilities, common mobility card based automated fare collection system, charging infrastructure etc.

In this context, let us analyse the need for electric mobility and initiatives taken in this regard.

FAME SCHEME

Faster Adoption and Manufacturing of Hybrid & Electric Vehicles in India (FAME-II) is a subsidy scheme which was introduced by the government of India on April 1, 2019, for a period of three years, which was further extended for a period of two years up to March 31, 2024.

The three major components of the Scheme:

1) Demand Incentives:

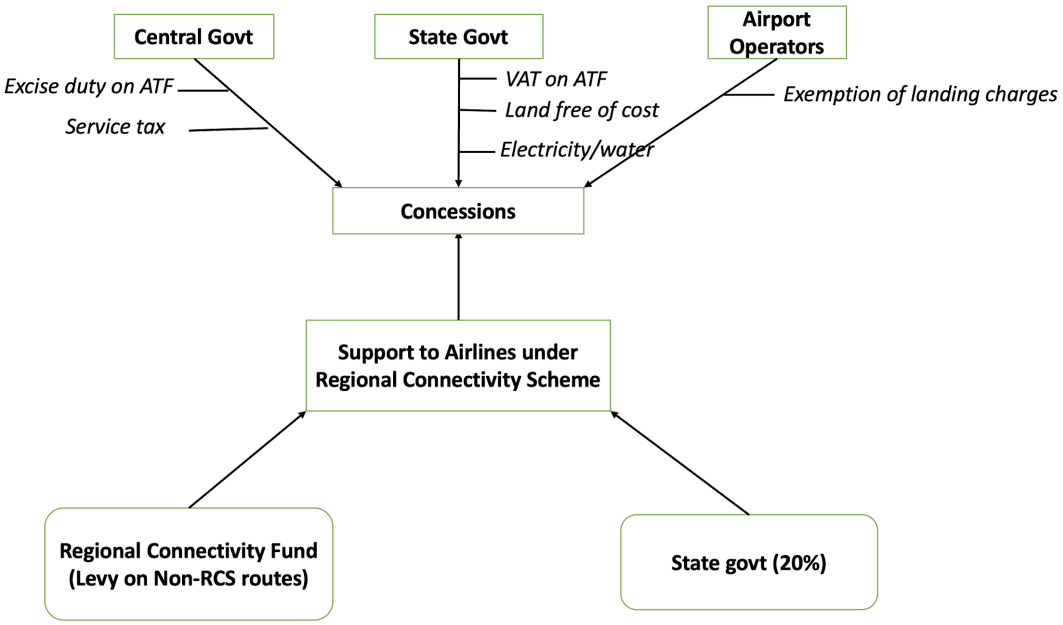
- To create demand for e-vehicles, incentives (Subsidies) are provided to the manufacturers, who in turn pass on the benefits to the final consumer.
- The scheme is exclusively for public and commercial transport in the segments of electric three-wheelers (e-3W), electric four-wheelers (e-4W) and electric buses. The benefit of the incentive is available to privately owned registered electric two-wheelers (e-2W).
- The incentives are tied to power of the battery used and final price of the vehicle.
- Localised content: To be eligible for the scheme, the manufacturer is required to fit the vehicle with 50% of locally made parts by vehicle value.

2) ***Establishment of a network of Charging Stations:*** 2500 charging stations to be established so that there will be availability of at least one charging station in a grid of 3 km x 3 km.

3) ***Publicity and IEC (Information, Education & Communication) Activities***

3. UDAN 5.5 LAUNCHED

The Centre has launched the next phase of its flagship **UDAN (Ude Desh ka Aam Naagrik)** scheme. **UDAN 5.5** intends to promote last-mile connectivity in remote regions, hilly areas, and island territories.



ABOUT UDAN (UDE DESH KA AAM NAGRIK) SCHEME

- Launched by the **Ministry of Civil Aviation** for **regional airport development** and **regional connectivity enhancement.** It is a part of the **National Civil Aviation Policy 2016.**
- **Objectives:**
  - To improve the air connectivity to **remote and regional areas** of India.
  - To make flights accessible and affordable in tier-2 and tier-3 towns.

KEY FEATURES OF UDAN SCHEME

- Under the scheme, airlines have to **cap airfares for 50% of the total seats at Rs. 2,500 per hour** of flight. This would be achieved through:
  - **Financial stimulus** in the form of concessions from Central and State governments and airport operators.
  - **Viability Gap Funding (VGF):** A government grant provided to the airlines to bridge the gap between the cost of operations and expected revenue.
  - **Regional Connectivity Fund (RCF):** created to meet the viability gap funding requirements under the scheme. The partner **State Governments** would contribute a **20%** share to this fund.
- UDAN created a **framework based on the need** and led to the formulation of:
  - **Lifeline UDAN:** for transportation of medical cargo during pandemic.
  - **Krishi UDAN:** value realization of agriculture products especially in Northeastern Region (NER) and tribal districts.
  - **International UDAN routes for NER** to explore International Connectivity from/to Guwahati and Imphal.

The Latest phase: UDAN 5.5:

- **UDAN 5.5** intends to promote last-mile connectivity in remote regions, hilly areas, and island territories.
- **Focus:** Routes that will be serviced **exclusively with sea-planes, choppers, and small aircraft** with a seating capacity of less than 20 passengers.
- Operators will get a chance to chart seaplane routes between **80 water bodies**, which include **waterdromes, ponds, and dams.**
- **Around 400 helipads are also included** in the scheme for operators to map out chopper routes.
- Allows the participation of **operators of aircraft in categories** such as:
  - **Category '1A':** seat less than nine passengers.
  - **Category '1':** less than 20 passengers.

4. InvITs

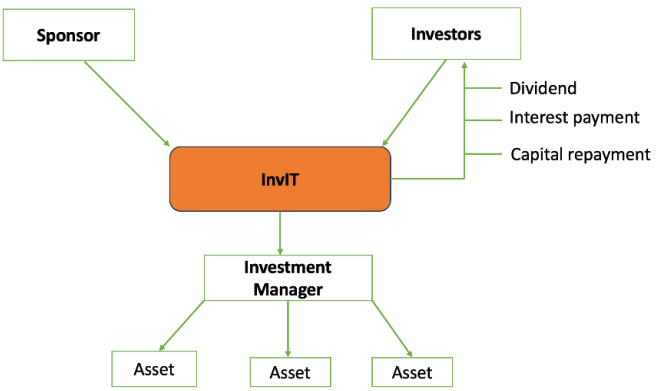
Securities and Exchange Board of India (SEBI) *has proposed a framework for undertaking fast-track follow-on offers by infrastructure investment trusts* ***(InVITs)*** *to make fundraising more efficient.*

WHAT ARE InvITs?

Infrastructure Investment Trusts ('InvITs') are pooled investment vehicles similar to mutual funds which were introduced to make investment in infrastructure assets accessible to private and retail investors. InvITs invest in long-term infrastructure projects such as roads, gas pipelines, transmission lines, renewable assets, etc. ***They are regulated by SEBI.***

DESIGN AND FEATURES OF InvITs

The InvITs are designed as a tiered structure with a sponsor setting up the InvIT which in turn invests into the eligible infrastructure projects either directly or via special purpose vehicles (SPVs).



- ***Who can Invest?***
  - The minimum subscription limit for InvITs is 1 lakh. Hence apart from institutional investors like Banks, Insurance companies, pension funds and sovereign wealth funds, Retail investors also can invest in InviTs. The investors receive units for their investment; hence they are also referred as Unit holders.

- Some part of the investment is used by the InvIT as loan while other portion is used as capital. Hence, the unit holders receive returns in the form of Dividend and Interest. ***Both the dividend and interest are taxed.***
- If the investor receives profit upon selling his units, Capital gains tax is imposed on any such gain.

- **Low Risk:**
  - As per the SEBI regulations***, InvITs must invest at least 80% of their assets in projects that are completed and revenue-generating***. This lowers the risk for investors as this reduces the typical risk associated with the infrastructure sector i.e., delay in completion, due to lack of regulatory approvals, poor project management etc.
  - ***InvITs and REITs are recognised as borrowers under the Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest (SARFAESI) Act***. This enables the investors, especially banks, to initiate action against the trustees of InvITs in case of any default.

5. URBAN INFRASTRUCTURE DEVELOPMENT FUND

In the budget FY 2023-24, the Union Finance Minister declared the creation of a new fund called Urban Infrastructure Development Fund (UIDF) established through **Priority Sector Lending shortfall**. The proceeds of the UIDF were to be used by public agencies to create urban infrastructure in Tier 2 & Tier 3 cities.

ABOUT URBAN INFRASTRUCTURE DEVELOPMENT FUND

- UIDF is managed by National Housing Bank and loans will be sanctioned by NHB to States.
- Normative allocation of funds to respective states/UTs will be based on the population of eligible cities of each state/UT. State wise allocation of corpus shall be based on urban population in the cities as per latest census data (Census 2011) as:

$$\textit{Ratio of State wise corpus} = \frac{\textit{Urban population in state in eligible towns or cities}}{\textit{Total population in eligible town or cities in the country}}$$

- Borrowings under UIDF shall be governed by Article 293(3) of Indian Constitution. Hence, the Finance Department of respective States shall be the nodal agency for all activities under UIDF.
- States shall endeavor to utilise a minimum 5% of allocated corpus for projects generating user charges or revenue sufficient to at least meet their O&M expenditure.

OBJECTIVE OF UIDF

- Supplement efforts of State Governments/UTs for urban infrastructure development work implemented through Public/State Agencies, Municipal Corporations, Urban Local Bodies in Tier 2 and Tier 3 cities by providing a stable and predictable source of financing.
- Address the problem of skewed regional development.
- Allows for pooling of resources and expertise, enabling creation of comprehensive infrastructure solutions that addresses the unique needs of each urban area.
- A stable and predictable source of finance under UIDF will allow holistic planning by States to create Future Ready Tier 2 and Tier 3 cities leading to drive economic growth in the years ahead.

TARGET CITIES OF UIDF

- UIDF will focus on cities/Urban local bodies in the population group of 50,000 and 9,99,999 as per latest census data, covering about 40% of urban population.
  - **Tier 2 cities:** 459 towns with population between 1 lakh to 9,99,999 as per latest census data.
  - **Tier 3 cities:** 580 towns with population between 50,000 and 99,999 as per latest census data.
- UIDF would focus on mid-sized cities with the potential to develop them into regional economic hubs (Metropolitan and mega cities are outside the scope of UIDF).

ELIGIBLE ACTIVITIES UNDER UIDF

Eligible activities for UIDF will be aligned to missions and programs of the Ministry of Housing and Urban Affairs.

List of eligible activities under UIDF are:

- Water Supply & Sanitation (new/ augmentation/ rehabilitation)
- Construction of drains & storm water drains
- Sewerage network and sewage treatment plants
- Comprehensive projects of pay and use toilets, operated and managed by the private sector.
- Solid Waste Management (new/augmentation)
- Construction of roads (excluding maintenance works) with provision of all utilities to be taken through an underground conduit, over bridges, grade separators, underpasses
- Local area plan for decongestion
- Electric/gas crematorium
- Comprehensive area development programs:
  - Local area plan for decongestion
  - Heritage conservation
  - Transit oriented development for creating dense, mixed-use developments near public transportation.
  - Town planning schemes for greenfield development
  - Parks with open Gym not involving major construction work.
- **Note:** Proceeds from UIDF will not be used for maintenance works or for administrative/establishment expenses.

TERMS & CONDITIONS

- **Eligible Loan Amount** for financing under UIDF will be based on size of project and geographical location of the project. Percentage of project cost that can be considered for various projects are as follows: (Minimum loan amount Rs. 5 crore (1 crore for North East and Hilly States) and Maximum loan amount Rs. 100 crores).

Size of project	Other than NE & Hilly States	NE & Hilly States
5 - 10 crores (1 - 10 for Northeast & Hilly States	90%	95%
10 - 50 crores	85%	90%
50 - 100 crores	75%	85%

- **Clubbing of projects:** State Governments may club small sized projects in single Detailed Project Report (DPR).
- **Rate of Interest:** Interest rate on deposits placed by banks and loans under UIDF shall be decided by RBI. Lending rate on UIDF loans is linked to Bank Rate prevailing at the time of deposit of funds by banks i.e., Bank Rate minus 1.5%.

6. HYBRID ANNUITY MODEL

The pace of India's National Highway construction is expected to slow down from 34 kms a day in FY24 to 31 kms per day as projects under the hybrid annuity model (HAM) have not taken off as anticipated.

WHAT IS A HYBRID ANNUITY MODEL (HAM)?

- It is a **public-private partnership (PPP) model that combines** engineering, procurement, and construction **(EPC) and** build, operate, transfer **(BOT) models**.

WHAT ARE ITS SALIENT FEATURES?

- **Sharing of Capital Costs:** 40% of bid project cost payable by govt in five equal installments linked to physical progress. The concessionaire has to bear the rest.

- **Assured Return:** Frees the concessionaire's dependency on the toll collected on the highway. The government shoulders the responsibility of revenue collection.
- **Land:** The government will provide 90% of land and the related environment and forest clearance (earlier 80%).
- **Operation & Maintenance** of the toll road also rests with the concessionaire.
- **Risk Allocation:** Private partner bears the construction & maintenance risks. The Government bears all revenue/traffic & inflation risks.

ADVANTAGES

- **Lower Upfront Costs:** In the hybrid annuity model, one need not bring 100% of finance upfront and since 40% is available during the construction period, only 60% is required to be arranged for the long term
- **Higher Revenue Certainty and Reduced Risk for Developer:** There is no risk of tolling as well as traffic uncertainty. NHAI will collect toll and refund the amount in installments over a period of 15-20 years, cutting down on upfront investment required to be made by the government.
- **Reduced Debt Burden for Concessionaire:** 40% grant in form of capital support would substantially reduce the debt portion and interest burden thereof. The lenders will have great comfort in financing the project.
- **Land Acquisition and Environmental Clearances:** are major sources of delay and stalling of many projects. In HAM model, the obligation to acquire land and environmental clearances lies with the government
- **Speeding Up of Projects:** Losses due to time overruns are prevented. As the government is itself a stakeholder, it now acts as a real 'partner'.
- **Monitoring Mechanism:** The government will invest money in five equal installments based on the targeted completion of the road project.

7. POWER MARKETS IN INDIA

To meet peak power demand during the unusually hot summer, the government has allowed the trading of surplus electricity generated from "linkage coal" in the country's power markets. Coal linkages are typically made by the government to thermal units against long-term power purchase agreements (PPAs) with distribution companies (Discoms).

WHAT ARE POWER MARKETS?

Power markets offer a flexible, reliable, and transparent alternative to traditional power purchase agreements (PPAs), enabling generators to respond swiftly to demand fluctuations and sell surplus power at market-determined prices.

POWER EXCHANGES IN INDIA

- Power markets are hosted on a power exchange. Exchanges facilitate competitive pricing, improved resource allocation, and greater market liquidity in the power sector.
- The **Electricity Act of 2003 established the framework for power exchange operations in India**, and exchanges commenced in 2008.
- The spot market was introduced in 2020, which further enhanced the flexibility and responsiveness of the power trading system.
- India has three major power exchanges **regulated by the Central Electricity Regulatory Commission (CERC)**, where generators, utilities, and large consumers trade electricity.
    - The **Indian Energy Exchange Ltd (IEX)** dominates with more than 90% market share, followed by **Power Exchange India Limited (PXIL)** and **Hindustan Power Exchange Ltd (HPX)**.
- The government has recently amended various regulations to encourage and incentivise participation in power exchanges, reflecting their growing importance in India's electricity market.

8. JALVAHAK SCHEME

*Union Government has recently launched the "**Jalvahak**" scheme to incentivise movement of cargo along the inland waterways, reduce logistics cost and de-congest roads and railways.*

PRESENT STATUS OF INLAND WATERWAYS

- India has approximately 14,500 km of navigable waterways which consist of rivers, canals, backwaters, creeks, etc.
- However, the share of Inland waterway transport (IWT) in India is currently only around 2% in comparison to 35% in Bangladesh and 20% in Germany.

DETAILS ABOUT JALVAHAK SCHEME

- **Rationale**: Need to provide incentives on the lines of Europe's Marcopolo initiative to encourage modal shift towards Inland waterways from better funded and developed Road and Railways sector.
- **Duration of scheme:** 3 years.
- **Implementation agency**: Inland and Coastal Shipping Limited (ICSL)
- **Nodal Ministry**: Ministry of Shipping, Ports, and Inland Waterways.

DESIGN OF THE SCHEME

- Financial incentives will be provided directly to the cargo owners who shift cargo from road/rail to Inland waterways.
- Incentive would be up to 35% of the total actual operating expenditure incurred on waterways.
- Incentive would be provided only on long haul movement of cargo i.e. distances more than 300 km.

IS THE INCENTIVE APPLICABLE FOR ALL THE INLAND WATERWAYS?

Presently, the incentives are applicable for movement of cargo along National Waterways 1 (river Ganga), National Waterways 2 (Brahmaputra river) and National Waterways 16 (River Barak). However, based on the success of the Scheme, it may also be extended to other waterways.

9. LOGISTICS EASE ACROSS DIFFERENT STATES (LEADS) REPORT, 2024

The Ministry of Commerce and Industry has released the 6th edition of the 'Logistics Ease Across Different States (LEADS) 2024' Report, ranking various states on the parameter of logistics performance.

ABOUT LEADS

- The index is an **indicator of the efficiency of logistical services** necessary for promoting exports and economic growth.
- The report divides states into:
  - **Three broad criteria** i.e., Achievers, Front movers and Aspirers, based on their performance.
  - **Groups:** Coastal, Landlocked, North-Eastern, and Union Territories.
- The report ranks states on the basis of **four key pillars** -- Logistics Infrastructure, Logistics Services, Operating and Regulatory Environment, and the newly introduced Sustainable Logistics.

PERFORMANCE OF STATES (2024)

- **Achievers:**

- 13 States and Union Territories bagged the top rank of 'achievers', topped by **Gujarat.**
- **Gujarat**, Karnataka, Maharashtra, Odisha, Tamil Nadu, Delhi, Chandigarh, Haryana, Telangana, Uttar Pradesh, Uttarakhand, Assam and Arunachal Pradesh.

- **Front Movers**: Andhra Pradesh, Goa, Bihar, Himachal Pradesh, Madhya Pradesh, Punjab, Rajasthan, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Dadar and Nagar Haveli, Jammu and Kashmir, Lakshadweep and Puducherry.
- **Aspirers:** Kerala, West Bengal, Chhattisgarh, Jharkhand, Andaman and Nicobar and Ladakh.

Presently, India's logistics cost is **13-14 per cent of GDP** which is extremely high. The report suggests the logistics sector adopt the LEAD framework – **Longevity, Efficiency and Effectiveness, Accessibility and Accountability and Digitalisation** of processes to transform the logistics sector.

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7 CHAPTER AGRICULTURE

1. PM KISAN SAMMAN NIDHI (PM-KISAN)

Over 1 lakh farmers voluntarily gave up their PM-KISAN benefits last year.

ABOUT PM KISAN SAMMAN NIDHI (PM-KISAN)

- PM Kisan is a **Central Sector scheme** with **100% funding from Government of India.**
- Under the scheme an **income support of 6,000/- per year** in three equal installments will be **provided to all land holding farmer** families**.**
  - In the beginning when the PM-Kisan Scheme was launched in 2019, its benefits were admissible only to Small & Marginal Farmers' families, with combined landholding up to 2 hectares.
  - The Scheme was later on revised to extend to all farmer families irrespective of the size of their landholdings.
- **Exclusions:** Farmer families who pay income tax, with government employees and professionals like doctors etc. are excluded.
- **The definition of family** for the scheme is husband, wife and minor children.
- **State Government and UT administration** will **identify the farmer families** which are eligible for support as per scheme guidelines.
- The fund will be directly transferred to the bank accounts of the beneficiaries.

2. DEMAND FOR LEGALISATION OF MSP

Farmers organisations have been demanding legalisation of the Minimum Support Price Regime in India.

WHAT IS THE MINIMUM SUPPORT PRICE?

- Minimum Support Price (MSP) is a form of market intervention by the Government of India to ensure agricultural producers against any sharp fall in farm prices.
- **Announced by Cabinet Committee on Economic Affairs at the beginning of the sowing season** for 22 mandated crops and fair and remunerative price (FRP) for sugarcane based on the recommendations of the **Commission for Agricultural Costs and Prices (CACP).**
- Price fixed by Government of India to protect the producer – farmers – against excessive fall in price during bumper production years. They are a guaranteed price for farmer's produce from the Government.
- List of crops are as follows: -
  - Cereals (7) – paddy, wheat, barley, jowar, bajra, maize and ragi
  - Pulses (5) – gram, arhar/tur, moong, urad and lentil
  - Oilseeds (8) – groundnut, rapeseed/mustard, toria, soyabean, sunflower seed, sesamum, safflower seed and nigerseed
  - Raw cotton
  - Raw jute
  - Copra
  - De-husked coconut
  - Sugarcane (Fair and remunerative price)
  - Virginia flu cured (VFC) tobacco

DETERMINATION OF MSP IN INDIA

Factors considered:

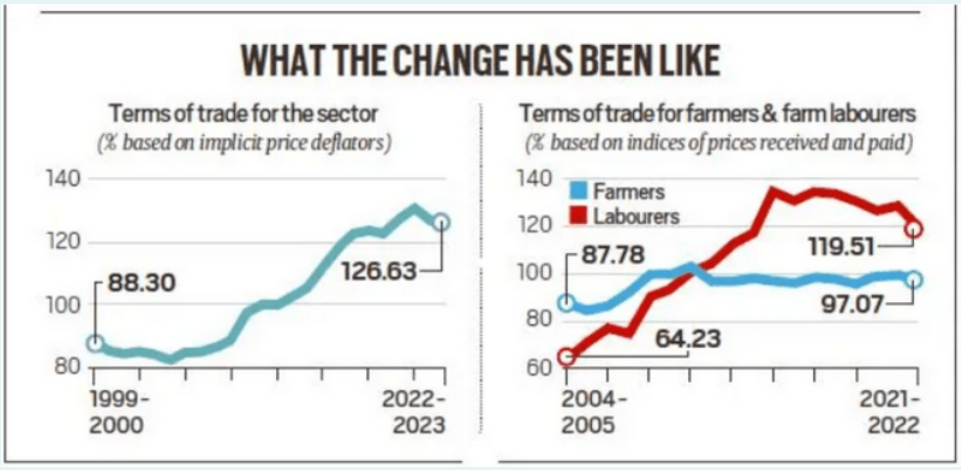
- Cost of production
- Changes in input prices
- Input-output price parity.
- Trends in market prices
- Demand and supply.
- Terms of trade between agriculture and non-agriculture
- Inter-crop price parity
- Effect on industrial cost structure.
- Effect on cost of living.
- Effect on general price level.
- International price situation
- Parity between prices paid and prices received by the farmers.
- Effect on issue prices and implications for subsidy.

Different methodologies may be used to calculate the MSPs. These are

- **A2 Approach,** which includes cost of inputs such as seeds, fertilizer, labour;
- **A2+FL Approach**, which includes A2 and the implied cost of family labour (FL); and
- **C2 Approach**, which includes the implied rent on land and interest on capital assets and A2+FL.

TERMS OF TRADE

- Terms of trade, specifically, the terms of trade between agriculture and industry are the ratio of agricultural prices to industrial prices, both measured as price indices.



- ToT can be calculated using so-called implicit price deflators. Gross Value Added (GVA) — the value of all goods and services produced in an economy minus the value of their inputs consumed during a given year, net of product taxes and subsidies — is estimated at both current and constant prices. Current prices are price levels for the given year, while constant prices are those that prevailed during a fixed "base" year.
- unfavourable terms of trade in agriculture basically shows that farmers are paying higher price for their inputs which includes diesel, fertilisers and also for consumption services such as health and education in comparison to the price that they receive by selling their produce.

- **NOTE: The pricing of sugarcane is governed by the statutory provisions of the Sugarcane (Control) Order, 1966 issued under the Essential Commodities Act (ECA), 1955. So, there is a statutory binding on the sugar factories to pay the FRP declared by the government each year.**

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3. PULSES

The Indian government has recently reimposed import duties on yellow peas after allowing duty-free imports for a limited period. The surge in pulse imports has impacted domestic prices, causing distress among Indian farmers.

PULSES

- Pulses are grown throughout the agricultural year.
- **Rabi Pulses (contribute over 60%):** Gram (chickpea), Chana (Bengal gram), Masoor (lentil), Arhar (pigeon pea).
- **Kharif Pulses:** Moong (green gram), Urad (black gram), Tur (arhar dal).
- India is the **largest producer (25% of global production)**, **consumer (27% of world consumption)** and **importer (14%)** of pulses in the world.
- Pulses account for around **20 percent of the area under food grains** and contribute around 7-10 per cent of the total food grains production in the country.
- Madhya Pradesh, Maharashtra, Rajasthan, Uttar Pradesh and Karnataka are the **top five pulses producing States.**

INDIA'S INITIATIVES TO BOOST PULSES PRODUCTION

1. National Food Security Mission (NFSM)-Pulses:

- Assistance to farmers through States/UTs for various interventions.
- Cropping system demonstrations.
- Seed production and distribution of HYVs/hybrids.
- Additionally, the establishment of 150 Seed Hubs for Pulses has significantly contributed to increasing the availability of quality pulse seeds.

2. Pradhan Mantri Annadata Aay SanraksHan Abhiyan (PM-AASHA) Scheme: comprises three components:

- **Price Support Scheme (PSS):** Procurement from pre-registered farmers at Minimum Support Price (MSP).
- **Price Deficiency Payment Scheme (PDPS):** Compensates farmers for price differences.
- **Private Procurement Stockist Scheme (PPSS):** Encourages private sector participation in procurement.

3. Mission for Aatmanirbharta (self-reliance) in Pulses:

- In Budget 2025, the government announced plans to launch a 6-year mission with a special focus on Tur, Urad and Masoor.
- The Mission will place **emphasis on:**
  - development and commercial availability of climate resilient seeds
  - enhancing protein content in pulses
  - increasing pulses productivity
  - improving post-harvest storage and management
  - assuring remunerative prices to the farmers.
- **Rs 1,000 crore** have been allocated to provide Minimum Support Price (MSP) based procurement and post-harvest warehousing solutions for these 3 pulses.
- **Central Agencies** (NAFED and NCCF) will procure these 3 pulses, as much as offered during the next 4 years from farmers who register with these agencies and enter into agreements.

4. UREA GOLD

Context: The Ministry of Chemicals and Fertilizer has introduced a new fortified Urea Combination, Sulphur Coated Urea, which is also known as Urea Gold.

SULPHUR COATED UREA - UREA GOLD

- It is a non-organic slow-release fertilizer that is a result of coating urea with Sulphur.

- Coating of sulphur results in formation of a membrane that regulates the availability of nitrogen for plant growth.
- It contains about 37% of Nitrogen and 17% of Sulphur. Ordinary urea has 46 per cent nitrogen. Thus, SCU has about 20 per cent lower nitrogen content than ordinary urea.
- It is prepared by coating pre-heated urea granules with molten Sulphur.
- Besides improving nitrogen use efficiency, the availability of Sulphur also improves plant growth.

BENEFITS OF SULPHUR COATED UREA

- Use of Sulphur coated Urea (SCU) leads to reduction in urea consumption by 25%.
- There is mostly deficiency of Sulphur content in the soil, which is also being addressed by Urea Gold.
- It has basically two advantages; first is its slow-release mechanism and second, it increases the nitrogen adsorption efficiency by 40%. Moreover, it improves the plant growth/ quality and the yield of seeds, especially oilseeds.
- Oilseeds and pulses need more sulphur. Thus, use of Urea Gold will boost the productivity of these crops.

COST OF SULPHUR COATED UREA

The government has mandated that SCU will be sold in 40 kg bags and the selling price will be the same as for a 45 kg bag of ordinary urea.

5. ORGANIC FARMING IN INDIA

A draft National Programme for Organic Production (NPOP), 2024, proposes a unique identification (ID) for farmers interested in organic farming.

STATUS OF ORGANIC FARMING IN INDIA

- India ranks first in number of organic farmers and ninth in terms of area under organic farming.
- The total area under organic certification process (registered under National Programme for Organic Production) is 3.67 million hectare (2019-20).
- Among all the states, **Madhya Pradesh** has covered the largest area under organic certification followed by Rajasthan and Maharashtra.
- In 2016, Sikkim became the first State in the world to become fully organic and other States including Tripura and Uttarakhand have set similar targets.

INITIATIVES TAKEN BY GOVERNMENT TO PROMOTE ORGANIC FARMING

- **Standards for Organic Foods:** Any organic food manufactured, sold and marketed is regulated as per the provisions of Food Safety and Standards (Organic Food) Regulations, 2017.
- India has adopted two Organic Certification:
  - **National Programme for Organic Production (NPOP)** for Exports. Under the Ministry of Commerce and Industry. NPOP certification is facilitated by Agriculture Processed Food and Export Development Authority (APEDA).
  - **Participatory Guarantee System (PGS)** for Domestic and Local markets. Under the Ministry of Agriculture**.** It is implemented by the Ministry of Agriculture with National Centre for Organic Farming (NCOF) acting as its secretariat.
  - **Note:** The Jaivik Bharat logo for Organic Food is an identity mark to distinguish organic products from non-organic ones.
- **Paramparagat Krishi Vikas Yojana (PKVY)**: The scheme promotes cluster based organic farming with **Participatory Guarantee System(**PGS certification). Cluster formation, training, certification and marketing are supported under the scheme.
- **Mission Organic Value Chain Development for North Eastern Region (MOVCDNER)**: Development of certified organic production in a value chain mode to link growers with consumers. It provides support for the

development of the entire value chain starting from inputs, seeds, certification and creation of facilities for collection, aggregation, processing, marketing and brand building initiative.

6. FARMER ID

*The Ministry of Agriculture and Farmers' Welfare has asked the states to organise camps to ensure a faster generation of **Farmer ID,** a critical component of the Digital Agriculture Mission.*

FARMER ID

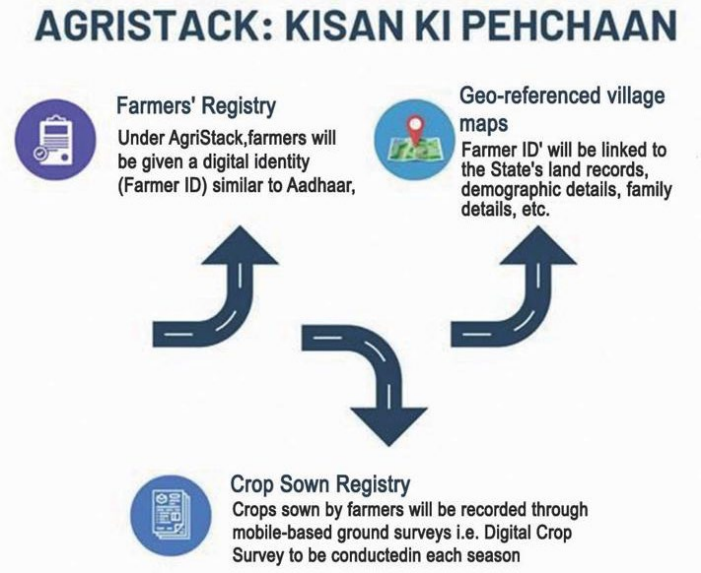
- **Farmer ID** (also known as Kisan Pehchaan Patra) is an Aadhaar-linked Unique Digital Identity of the farmers.
- **Created and maintained by:** State Governments/ Union Territories.
- The IDs will be **linked to various farmer-related data** including:
  - Land records
  - Livestock ownership
  - Crops sown
  - Benefits and subsidies availed
  - Demographic and family details etc.
- The database created through the Farmer ID will be known as **Farmer' registry**. **It is one of the three registries under Agri Stack component** of the Centre's **Digital Agriculture Mission** for creation of digital public infrastructure in the farm sector.

BENEFITS OF FARMER ID

- **Targeted delivery**: Only legitimate and eligible farmers receive subsidies and benefits and eliminates duplication.
- **Precision agriculture:** Facilitates data-driven policy-making for better crop planning, insurance, and market linkages.
- **Empowerment:** Encourages financial inclusion by enabling easy access to credit and crop insurance.

ABOUT AGRISTACK

- AgriStack is designed as a farmer-centric **Digital Public Infrastructure** (DPI) to streamline services and scheme delivery to farmers.
- It comprises three key components:
  - Farmers' Registry
  - Geo-referenced village maps
  - Crop Sown Registry
- AgriStack is a part of the **Digital Agriculture Mission (2021–2025)** which aims at modernisation of Indian agriculture. The three DPIs to be built under the Mission are Agristack, Krishi Decision Support System, and Soil Profile Mapping.



KEY TARGETS OF AGRISTACK INCLUDE

- Creating digital identities for **11 crore farmers** over three years (6 crore in FY 2024-25, 3 crore in FY 2025-26, and 2 crore in FY 2026-27).

- Launching **Digital Crop Survey nationwide,** within two years, covering 400 districts in FY 2024-25 and all districts in FY 2025-26.

7. KISAN CREDIT CARD BAD LOANS RISE BY 42% IN FOUR YEARS: RBI

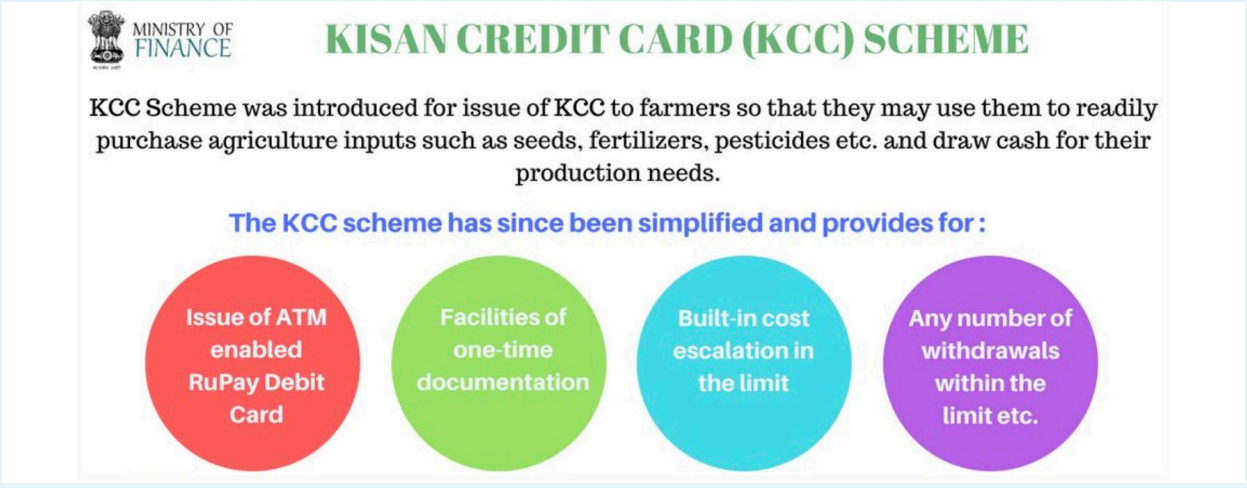
Recently, Reserve Bank of India informed that the outstanding NPA amount in the Kisan Credit Card (KCC) segment surged to Rs 97,543 crore as at end of December 2024.

NPA CLASSIFICATION IN THE KCC SEGMENT

- In case of a retail loan, an account becomes an NPA if interest and instalment of principal remain **overdue for more than 90 days.**
- The **repayment period for KCC loans** is as per the crop season (short or long) and marketing period for the crop.
  - The crop season for states is decided by the respective State Level Bankers Committee.
  - For **short duration crops**, the crop season is 12 months and for **long duration crops** it is 18 months in most states.
- If a KCC loan is **not paid within three years of disbursal,** it is classified as NPA.

KISAN CREDIT CARD (KCC) SCHEME

- KCC scheme provides timely access to institutional credit to small and marginal farmers for agricultural and allied activities.
- **Key Features:**
  - Banks provide **collateral-free loans up to Rs 2 lakhs** under KCC scheme for:
    - cultivation and post-harvest activities.
    - meet household consumption expenses.
    - working capital for essential farming equipment.
    - investment credit for allied activities (animal husbandry, dairying, fisheries, and other agricultural extensions).
  - KCC offers a **revolving cash credit facility, allowing farmers to** withdraw and deposit funds multiple times, without any restrictions.
  - **KCC loans** come under the priority sector lending **(PSL)** for banks. Of the overall PSL target of 40%, banks are mandated by RBI to allocate 18% of their funds towards agriculture lending.



MODIFIED INTEREST SUBVENTION SCHEME UNDER KCC

- **Modified Interest Subvention Scheme (MISS)** offers concessional **Short-term Agri-loans** to farmers through KCC, up to Rs 3 lakh at a concessional interest rate of 7% per annum.
- An additional **3% subvention** is provided for timely repayment, reducing the effective **rate to 4%.**
- MISS also includes **post-harvest loans** against Negotiable Warehouse Receipts (NWRs) for small farmers with KCCs.
- In the Budget 2025-26, the government announced to **increase the loan limit under the MISS** from Rs 3 lakh to Rs 5 lakh.

A 2019 report of an RBI working group to **'Review Agriculture Credit'** cited that **loan waivers impact the credit flow to agriculture** due to moral hazard among both beneficiaries and non-beneficiaries. This essentially leads to banks reallocating lending to lower risk borrower segments, and thus reducing credit availability for the agriculture sector.

8. CREDIT GUARANTEE SCHEME FOR E-NWR BASED PLEDGE FINANCING

*Central Government launched a Credit Guarantee Scheme which provides a corpus of Rs 1,000-crore for **post-harvest finance** availed by farmers against electronic negotiable warehouse receipts (e-NWRs).*

WHAT ARE CREDIT GUARANTEE SCHEMES?

- Credit Guarantee refers to a situation where the loan to the applicant is backed by a party without the need for any external collateral or third-party guarantee.
- Here, the loan sanctioned by the member lending institution is backed by the scheme which provides the guarantee cover for a large portion of the loan amount.

ELECTRONIC-NEGOTIABLE WAREHOUSE RECEIPTS (E-NWR)

- Negotiable warehouse receipt (NWR) system, launched in 2011, allows transfer of ownership of a commodity stored in a warehouse without having to deliver it physically.
- An e-NWR is **available only in electronic form**. These receipts are issued in negotiable form, making them eligible as collateral.
- **Warehousing Development and Regulatory Authority** (WDRA) regulates the entire operation under NWR.

ABOUT CREDIT GUARANTEE SCHEME FOR E-NWR BASED PLEDGE FINANCING

- **Objective:** To help farmers easily access post-harvest loans by leveraging electronic warehouse receipts.
- **Total Corpus**: Rs. 1000 Crores
- **Coverage:** Loans up to Rs. 75 lakhs for agricultural purpose; up to Rs. 200 Lakhs for non-agricultural purpose.
- **Eligible Institutions:** All scheduled banks and all cooperative banks.
- **Eligible Borrowers:** Small and Marginal Farmers, Women, SC/ST/PwD Farmers, other farmers, MSMEs, Traders, FPOs and Farmer cooperatives.
- **Risks covered:** Credit and warehouseman risks.
- **Guarantee coverage:**
  - 85% for loans up to Rs. 3 Lakhs.
  - 80% for loan between Rs. 3 to 75 lakhs for small and marginal farmers/ women/ SC/ ST/ PwD
  - 75% for other borrowers.

BENEFITS OF THE SCHEME

- **Increase post-harvest lending:** Currently, post-harvest lending stands at Rs. 40,000 crore out of total agricultural lending of Rs 21 lakh. Lending against e-NWRs is just Rs 4000 crore.
- **Improved Trust for Banks:** It addresses the default arising out of both Credit risk and Warehouseman risk.
- **Access to Vulnerable Section:** The scheme majorly focuses on Small and Marginal Farmers, Women, SC, ST and Divyangjan (PwD) farmers with a minimal guarantee fee.
- **Avoid distress selling by farmers:** Currently, farmers are compelled to sell their produce even if the price crashes, to get money to invest in the next cycle of crops. As this scheme takes off, farmers can submit their produce and get issued e-NWRs which will act as collateral for banks to issue required loans. Farmers can sell their produce when the price goes up.

9. SVAMITVA SCHEME

*The **SVAMITVA** scheme, which aims to issue **legal property cards** to rural families, finds hindrance in its implementation as ten states are yet to join the scheme, citing existing systems and other reasons.*

ABOUT SVAMITVA SCHEME

- **SVAMITVA** stands for Survey of Villages and Mapping with Improvised Technology in Village Areas.
- An Initiative of the Ministry of Panchayati Raj, launched in 2021.
- The scheme is a collaborative effort of the Ministry of Panchayati Raj, State Panchayati Raj Departments, State Revenue Departments.
- S**urvey of India** is the Technology Implementation Agency.
- **Key Features:**
  - It provides the **'Record of Rights'** to village household owners possessing houses in **inhabited rural areas (Abadi) in villages.**
  - The **legal ownership cards** (Property cards/Title deeds) would be issued to the property owners by mapping land parcels using **Drone survey** and **CORS** (Continuously Operating Reference Stations) Networks which provides mapping accuracy of 5 cm.
- **Eligibility:** The applicant should have a property in rural inhabited (Abadi) area.
- **Exclusions:** Agricultural Lands are not covered under this scheme.

BENEFITS OF SVAMITVA SCHEME

- **Reduce property-related disputes** and legal cases by creating accurate land records.
- **Financial stability** to the citizens in rural India by enabling them to use their property as a financial asset for taking loans and other financial benefits.
- Creation of **survey infrastructure and GIS** (Geographic Information System) **maps** that can be leveraged by any department for their use.
- Preparation of a **better-quality Gram Panchayat Development Plan** aided by proper land records and use of GIS maps **enhances governance.**
- **Financial federalism:** Determination of **property tax**, which would accrue to the Gram Panchayats directly in States where it is devolved or else, add to the State exchequer.

10. BHARAT RICE

Centre launches sale of 'Bharat' Rice at an MRP of Rs. 29/kg in 5Kg and 10Kg packs.

WHAT IS BHARAT RICE

- It is the retail sale of Food corporation of India's (FCI) rice to general consumers at a subsidised rate.
- **Ministry** - *Ministry of Consumer Affairs, food and public distribution.*

- **Agencies**
  - *Kendriya Bhandar*
  - *National Agricultural Cooperative Marketing Federation of India (NAFED)*
  - *National Cooperative Consumers' Federation of India (NCCF)*
- The Bharat Rice will be available for purchase from mobile vans and physical outlets of the three central cooperative agencies.
- As per the ministry in future, it will be expanded to other retail outlets and e-commerce platforms.

WHY THIS STEP?

- The government received a lukewarm response for sale of rice to bulk users at the same rate through the Open Market Sale Scheme (OMSS).
- To check inflationary trends in the food economy, as prices of rice are increasing despite good produce in the Kharif season.
- Ample stock in FCI is lying idle due to various regulations on rice exports.

Significance: The launch of retail sale of 'Bharat' Rice will increase supplies in the market at affordable rates and will help in continued moderation of prices of this important food item.

OTHER COMMODITIES

- **Bharat Atta (wheat flour)** is already being sold by these 3 agencies @ Rs. 27.50 per Kg in 5Kg and 10 Kg packs.
- Similarly, **Bharat Dal (chana dal / Chickpea)** is also being sold by these 3 agencies @ Rs.60 per kg for 1kg pack and Rs.55 per kg for 30 kg pack along with **onions @ Rs.25 per kg.**
- Apart from these 3 agencies, state- controlled cooperatives of Telangana, Maharashtra and Gujarat are also involved in retail sale of Bharat Dal.

NATIONAL AGRICULTURAL COOPERATIVE MARKETING FEDERATION OF INDIA (NAFED)

- It was established in 1958.
- It is registered under the Multi State Co-operative Societies Act.
- It was set up with the objective to promote Co-operative marketing of agricultural produce to benefit the farmers.
- Agricultural farmers are the main members of Nafed, who have the authority to say in the form of members of the General Body in the working of Nafed.
- Headquarters is situated in New Delhi.

NATIONAL COOPERATIVE CONSUMERS' FEDERATION OF INDIA (NCCF)

- It was established in 1965 to function as the apex body of consumer cooperatives in the country.
- It is registered under the Multi-State Co-operative Societies Act, 2002.
- It operates through a network of 24 Branch Offices located in different parts of the country.
- NCCF Headquarters is situated in New Delhi.

KENDRIYA BHANDAR

- The Central Govt. Employees Consumer Cooperative Society Ltd. popularly known as Kendriya Bhandar
- It was set up in 1963 as a welfare project for the benefit of the Central Govt. employees and public at large.
- It functions under the aegis of Ministry of Personnel, Public Grievances & Pensions, Govt. of India.
- It is registered with the Central Registrar of Cooperative Societies, Govt. of India as a Multi-State Consumer Cooperative Society.

FOOD CORPORATION OF INDIA'S (FCI)

- It is a statutory body set up under the Food Corporation's Act 1964.
- It is a public sector undertaking under the Department of Food & Public distribution, Ministry of Consumer Affairs, Food and Public Distribution.
- **Objective**
  - Effective price support operations for safeguarding the interests of the farmers.
  - Distribution of food grains throughout the country for the public distribution system.
  - Maintaining satisfactory level of operational and buffer stocks of foodgrains to ensure National Food Security

11. NATIONAL TURMERIC BOARD.

STATUS OF TURMERIC IN INDIA

- India is the **largest producer, consumer and exporter of turmeric in the world**.
- In the year 2022-23, an area of 3.24 lakh ha was under turmeric cultivation in India with a production of 11.61 lakh tonnes **(over 75% of global turmeric production).**
- More than 30 varieties of Turmeric are grown in India and it is grown in over 20 states in the country. The largest producing states of Turmeric are Maharashtra, Telangana, Karnataka and Tamil Nadu.
- India has **more than 62% share of world trade in turmeric.** During 2022-23, 1.534 lakh tonnes of turmeric and turmeric products **valued at 207.45 million USD.**
- The leading export markets for Indian Turmeric are Bangladesh, UAE, USA and Malaysia.

ABOUT NATIONAL TURMERIC BOARD

- **Nature:** It is not a statutory body.
- **Nodal Ministry:** Ministry of Commerce & Industry.
- **Membership:** The Board shall have a
- **Chairperson** to be appointed by the Central Government.
- **Members** from the Ministry of AYUSH, Departments of Pharmaceuticals, Agriculture & Farmers Welfare, Commerce & Industry of the Union Government.
- Senior State Government representatives **from three states (on rotation basis).**
- **Select national/state** institutions **involved in research.**
- Representatives of **turmeric farmers and exporters.**
- Secretary to be appointed by the Department of Commerce.

12. NATIONAL MAKHANA BOARD

- Union Budget FY26 announced the establishment of the National Makhana Board in **Bihar,** with an allocation of Rs 100 crore for FY 2025-26.
- **Aim:** To improve the production, processing, value addition and marketing of makhana, and increase farmers' income.
- The board will provide training and support to makhana farmers, who will be organised into farmer producer organisations.

13. PRADHAN MANTRI FASAL BIMA YOJANA

The Press Information Bureau (PIB) recently disclosed that Pradhan Mantri Fasal Bima Yojana (PMFBY) is the third largest crop insurance programme globally. The scheme witnessed a 27% increase in farmer enrolment from FY23.

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ABOUT PRADHAN MANTRI FASAL BIMA YOJANA (PMFBY)

OBJECTIVES

- To **provide insurance coverage** and **financial support to the farmers** in the event of failure of any of the notified crops as a result of natural calamities, pests & diseases.

FEATURES OF THE SCHEME

- **Coverage of farmers:** The scheme covers loanee farmers (those who have taken a loan), non-loanee farmers (on a voluntary basis), tenant farmers, and sharecroppers.
- **Coverage of Crops:** Every state has notified crops (major crops) for the Rabi and Kharif seasons. The premium rates differ across seasons.
- **Premium Rates:** There will be a uniform premium of only 2% to be paid by farmers for all Kharif crops and 1.5% for all Rabi crops. In case of annual commercial and horticultural crops, the premium to be paid by farmers will be only 5%.
    - The **difference between the premium rate and the rate of Insurance charges payable by farmers** shall be treated as Rate of Normal Premium Subsidy, which **shall be shared equally by the Centre and State.**
    - There is **no upper limit on Government subsidy**. Even if the balance premium is 90%, it will be borne by the Government.
- **Area-Based Insurance Unit:** The PMFBY operates on an area approach. Thus, all farmers in a particular area must pay the same premium and have the same claim payments. The area approach reduces the risk of moral hazard and adverse selection.
- **Coverage of Risks:** Following risks leading to crop loss are to be covered under the scheme:
    - Yield losses due to non-preventable risks, such as Natural Fire and Lightning; Storm, Hailstorm, Cyclone, Typhoon, Tempest, Hurricane, Tornado etc.; Flood, Inundation and Landslide; Drought, Dry spells and Pests/ Diseases etc.
    - **Prevented sowing:** In cases where majority of the insured farmers of a notified area, having intent to sow but are prevented from sowing the insured crop due to adverse weather conditions.
    - Post-Harvest losses against perils of cyclones, unseasonal rains throughout the country.
    - **Localised Calamities:** Loss resulting from occurrence of identified localised risks i.e. hailstorm, landslide, and Inundation affecting isolated farms in the notified area.
- **Innovative Technology Use:** It recommends the use of technology such as using drones to reduce the use of crop cutting experiments (CCEs), which are traditionally used to estimate crop loss; and using mobile phones to reduce delays in claim settlements by uploading crop- cutting data on apps/online.

Despite the phenomenal growth, the penetration and density of PMFBY is very low. Their penetration in terms of gross premium as a percentage of GDP is 0.62%.

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8 CHAPTER INDUSTRY

1. PRODUCTION-LINKED INCENTIVE (PLI) SCHEME FOR ELECTRONIC COMPONENT MANUFACTURING

The Union Cabinet has approved a Production-Linked Incentive (PLI) scheme for electronic component manufacturing, with an outlay of Rs 22,919 crore, focusing on passive components.

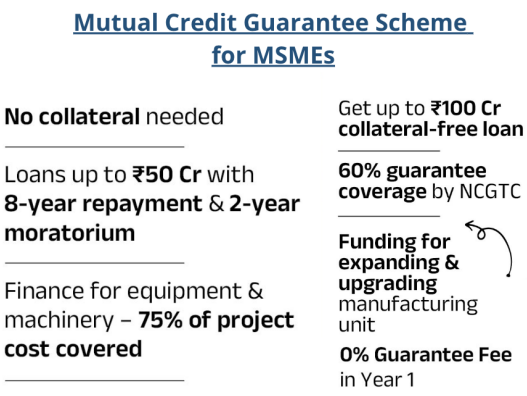
- **Target:** To enhance domestic value addition in the electronics sector which remains low at 15-20%, and raise this to 30-40%.
- **Targeted components:** support the manufacturing of key electronic components: display modules, camera sub-assemblies, printed circuit board, Lithium cell enclosures, Resistors, capacitors etc.
- **Types of Incentives:**
  - OperationalIncentives: Based on net incremental sales, similar to the PLI scheme.
  - Capital Expenditure Incentives: Given on eligible capital expenditure to promote infrastructure investments.
- **Eligible entities:**
  - Both greenfield and brownfield investments can avail subsidies.
  - Foreign companies can participate through technology transfer to Indian companies or through joint ventures with domestic firms.
- **Employment Generation:**
  - The initiative aims to create 91,600 direct jobs over six years.
  - Annual incentive payouts will range from ₹2,300 crore to ₹4,200 crore, conditional on companies meeting investment, production, and employment targets.

2. MUTUAL CREDIT GUARANTEE SCHEME FOR MSMEs

The Government of India has introduced the **Mutual Credit Guarantee Scheme for MSMEs** (MCGS- MSME) to **enhance credit access** for the Micro, Small and Medium Enterprises (MSMEs) and bolster the growth of the manufacturing sector.

MUTUAL CREDIT GUARANTEE SCHEME FOR MSMEs

- MCGS- MSME scheme will provide **60% guarantee coverage** by National Credit Guarantee Trustee Company Limited **(NCGTC)** to Member Lending Institutions for credit facility up to **Rs.100 crore**.
- These loans are sanctioned to eligible MSMEs for purchase of equipment / machinery.



KEY FEATURES

- **Eligibility**: Borrower should be an MSME with a valid **Udyam Registration Number.**
- **Loan details:** Collateral-free loans up to **Rs. 100 Crore.**
  - For loans up to Rs. 50 crore, the repayment period is up to 8 years, with a 2-year moratorium on principal installments.
  - For loans above Rs. 50 crore, higher repayment schedule and moratorium period may be considered.

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- **Equipment condition:** At least **75% of the project cost** must be allocated for the purchase of equipment or machinery.
- **Upfront contribution:** MSMEs will make an initial contribution of 5% of loan amount at the time of applying for the guarantee cover.
- **Annual guarantee fees:** No fees during the sanction year; 1.5% per annum of loan outstanding for next three years and 1% per annum thereafter.
- **Duration**: Applicable to all loans for 4 years from the date of issue of operational guidelines, or until a cumulative guarantee of Rs. 7 lakh crore is issued, whichever is earlier.

IMPACT OF THE SCHEME ON MSMEs

- **Easier access to credit:** Facilitate collateral free loans by banks and financial institutions to MSMEs who are in need of debt capital for their expansion and growth.
- **Capital investment:** Requirement to invest 75% of the loan to machinery and equipment will promote capital investment.
- **Enhancing registration:** The scheme requires mandatory registration with UDHYAM, this will motivate MSMEs to get registered. This will formalise operations of MSMEs and enable them access to government support and benefits.
- **Reduce collateral burden:** 60% guarantee by NCGTC reduces the risk for Money lending institutions and thus will encourage them to extend loans to MSMEs.

3. PM ELECTRIC DRIVE REVOLUTION IN INNOVATIVE VEHICLE ENHANCEMENT (PM E-DRIVE) SCHEME

The Union Cabinet has approved a new scheme called PM Electric Drive Revolution in Innovative Vehicle Enhancement (PM E-DRIVE) for the promotion of electric vehicles (EV) in India replacing Faster Adoption and Manufacturing of Electric Vehicles in India Phase II (FAME India Phase II).

Nodal Ministry: The Ministry of Heavy Industries (MHI) will implement the new scheme with a total outlay of Rs 10,900 crore over a period of two years.

MAJOR COMPONENTS

- **Subsidies/Demand Incentives:** Supported Vehicles include e-2Ws, e-3Ws, e-buses. Signed and Aadhaar authenticated e-vouchers, generated on the scheme portal, are essential for claiming incentives.
- **e-Ambulances** for promoting comfortable patient transport.
- **e-Buses:** Procurement of 14,028 e-buses for STUs/public transport agencies. Demand Aggregation will be managed by CESL in cities with populations over 40 lakh. Preferences will be given to cities/states replacing old STU buses through authorised scrapping centres (RVSFs).
- **e-Trucks:** Incentives provided with a scrapping certificate from MoRTH approved RVSFs.
- **Public Charging Stations (EVPCS):** Installations of fast chargers for e-4Ws, e-buses and e-2W/3Ws.
- **Modernization of Testing Agencies:** With an objective to upgrade test agencies to handle new and emerging EV technologies.

PRIMARY OBJECTIVES

- **Incentives:** Provide upfront incentives for EV purchase.
- **Infrastructure:** Facilitate establishment of essential EV charging infrastructure.
- **Environmental Impact:** Reduce transportation's environmental footprint and improve air quality.
- **EV Industry Growth:** Promote a competitive and resilient EV manufacturing sector.
- **Aatmanirbhar Bharat:** Encourage domestic manufacturing and strengthen the EV supply chain.
- **Investment and** Employment**:** Spur investment in the EV sector and create job opportunities along the value chain.